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Notice of the Annual General Meeting

Notice is hereby given that the forty third Annual General Meeting of the shareholders will be held at East African cables premises on Addis Ababa road, off enterprise road, industrial area, Nairobi, on 29th April, 2008 at 11.00am for the following purposes.

1. To confirm the minutes of the forty second Annual General Meeting held on 26th April, 2007.
2. To receive the Accounts for the year ended 31st December, 2007 and the Directors' and Auditors' Reports thereon.
3. To approve the Director's remuneration as provided in the accounts for the period ended 31st December, 2007.
4. To declare a final dividend of 180% representing ninety cents per share.
5. To elect Directors in accordance with the Company's Articles of Association. D. Sikand and Z.G Mbugua retire by rotation and being eligible offers themselves for re-election at the forth coming AGM.
6. To appoint auditors for the ensuing year and to authorize the Directors to fix their remuneration.
7. To transact any other business which may be transacted at an Annual General Meeting.

BY ORDER OF THE BOARD

Virginia Ndunge
Secretary

P.O Box 61120
00200 City Square
Nairobi

12th February, 2008

Note:

A member entitled to attend and vote is entitled to appoint a Proxy to attend and vote in his stead. Such Proxy need not be a member of the company. To be valid, Proxy forms must be deposited at the Registered Office of the Company not less than 48 hours before the appointed time of the meeting.

Tangazo La Mkutano

Mnatangaziwa kwamba mkutano mkuu wa mwaka wa arobaini na tatu wa wenye hisa utafanyika katika kiwanda kipya cha East African Cables kilichopo Addis Ababa road, eneo la viwandani, Nairobi, tarehe 26 Aprili 2007 kuanzia saa tano asubuhi, kujadili mambo yafuatayo:

1. Kuthibitisha kumbukumbu za mkutano mkuu wa arobaini na mbili uliofanyika tarehe 26 Aprili, 2007.
2. Kupokea mahesabu ya kipindi cha matumizi ya fedha kilichoisha tarehe 31 Desemba 2007 na ripoti ya wakurugenzi na wakaguzi wa mahesabu zinazofuatia.
3. Kuidhinisha ujira wa wakurugenzi kama ilivyopendekezwa katika mahesabu ya kipindi cha matumizi ya fedha kilichoisha tarehe 31 Desemba 2007.
4. Kutangaza gawio la asilimia themanini 180% inayowakilisha senti 90 kwa kila hisa.
5. Kuchagua wakurugenzi kulingana na kanuni za kampuni D. Sikand na Z G Mbugua wanafaa kustaafu kipindi hiki na kwa kuwa wangali na azimio, wamejitolea kuchaguliwa upya.
6. Kuteua wakaguzi wa mahesabu mwakani na kuwapa idhini wakurugenzi kuamua ujira wao.
7. Kushugulikia jambo lingine lolote linaloweza kushugulikiwa katika mkutano mkuu wa kila siku.

KWA AMRI YA HALMASHAURI

Virgina Ndunge
Katibu

P.O. Box 61120
00200 City Square
Nairobi.

12 Februari, 2008

Jambo Muhimu:

Mwenye hisa ambaye ana haki ya kuhudhuria mkutano na kupiga kura, anaweza kumchagua mwakilishi ikiwa yeye mwenyewe hawezi kuhudhuria. Mwakilishi huyo si lazima awe mwenye hisa katika kampuni hii. Fomu ya uwakilishi ni lazima irudishwe kwenye Afisi ya kampuni muda usiopungua masaa 48 kabla ya kufanyika mkutano.

The Board of Directors Profiles



Davinder Sikand

Mr. Sikand, 50, is the Managing Partner of Aureous East Africa Fund, a US\$ 40 million Fund since its inception in 1996. Davinder has 15 years' experience in private equity and investment banking gained in the United States, Europe and East Africa, having worked at various leading firms including Drexel Burnham Lambert, Financial Security Assurance and Pricewaterhousecoopers. He holds a masters degree from Kellogg School of Business, Northwestern University, USA.

James Gachui

Mr. Gachui, 60, studied chemical Engineering at the University of Surrey, Guildford, England, and graduated with a first class honors Bsc. Degree in 1972.

James Gachui is the Chairman of Wananchi Online Limited, Seven Seas Technologies, Trans Century Limited and Jimana Limited. In addition to being a member of the Institute of Directors (Kenya), director of Community Investments Limited and Chase Bank Kenya.

Mugo Kibati

Mr. Kibati, 38, is the Group Managing Director and Chief Executive Officer of East African Cables Limited.

Mugo is a member of the board of directors of the Kenya Association of Manufacturers and the Federation of Kenya Employers as well as a member of the Institute of Directors (Kenya).

**Zephania G. Mbugua
(Chairman)**

Z.G. Mbugua, 58, is a Bsc. graduate of Makerere University. He is the CEO of Abcon Group of companies whose principal business is supply of Industrial Raw Materials.

He holds Directorships in ten other companies. He was appointed a Director and Chairman of the Board in March 2004.

Peter Kanyago

Mr. Kanyago, 60, was educated at Nyeri High School, Strathmore College and Pacific States University.

He has a wide range of experience in business, having been the Chairman of Express Kenya Limited and currently the Chairman of East African Courier Limited (FedEx), East African Elevator Co. Limited (OTIS) and Kenya Medical Supplies Agency (KEMSA). He is also a member of the board of many companies including Kenya Tea Development Agency (KTDA) and a number of tea factories.

Bruno Thomas

Mr. Bruno Thomas is the Senior Corporate Vice President, Strategic Operations. Bruno Thomas was previously President of the Energy Cables Division, President of the board of Alcatel Kabel KG and Director of Industrial strategy.

In 1992 he was appointed Vice-President of Alcatel cable, in charge of the France sector. He joined Alcatel in 1986 as General Director of Cableries de Lens, with responsibility for the Benelux sector. He began his career at Usinor in 1968.

Anthony Wainaina

Mr. Wainaina, 42, is the CEO of Trans-century. He has extensive experience in corporate and project finance, management consultancy and investment banking. His previous working experience includes Price Waterhouse coopers as a management consultant, Citibank Kenya as a Resident Vice President, Regional Corporate Finance and ICDCI as Chief Executive Officer.

He sits in several boards including Rift Valley Railways (Pty), Avery Kenya, K-Rep Bank, Origins Venture Capital and Research Solutions.

Management Team

Commercial Department:



Technical Team



Human Resources Team



Finance Team



Report of the Directors

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2007, which disclose the state of affairs of the company and the group.

- 1. Activities**
The group's principal activities are the manufacture and sale of electrical cables and conductors as well as distribution of telecom, structured, fibre optic cables and accessories.
- 2. Results**
The results for the year are set out on Page
- 3. Dividends**
The directors recommend payment of a dividend of Kshs. 0.90 (2006-Kshs. 0.70) per share.
- 4. Directors**
The directors who served since 1 January 2007 are set out on page
- 5. Auditors**
The auditors, KPMG Kenya have indicated their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act.
- 6. Approval of financial statements**
The financial statements were approved at a meeting of the directors held on 12th February 2008.

BY ORDER OF THE BOARD

Virginia Ndunge
Secretary

Date: 12th February, 2008

Taarifa ya Wakurugenzi

Wakurugenzi wanafuraha kutoa ripoti yao pamoja na taarifa za kifedha zilizokaguliwa za mwaka uliomalizikia tarehe 31 Desemba 2007 ambazo zinaonyesha hali ya mambo ya kampuni ilivyo.

1. Shuguli

Shuguli kuu ya kampuni ni kutengeneza na kuuza waya za stima.

2. Matokeo

Matokeo ya mwaka yanaonyeshwa katika ukurasa wa

3. Mgawo wa faida

Wakurugenzi wanapendekeza gawio la mwisho la Kshs 0.90 (2006-Kshs 0.70) kwa kila hisa.

4. Wakurugenzi

Wakurugenzi waliokuwa ofisini mwaka huu ni kama inavyoonyeshwa katika ukurasa wa.....

5. Wakaguzi

Wakaguzi wa hesabu, KPMG Kenya, wameonyesha nia yao yakuendelea na kazi yao kulingana na kifungu cha 159(2) cha Sheria za makampuni.

6. Kuidhinishwa kwa Hesabu

Hesabu ziliidhinishwa katika Mkutano wa Wakurugenzi uliofanyika tarehe 12 Februari, 2008.

KWA AMRI YA HALMASHAURI

Virginia Ndunge
Katibu

Tarehe: 12 Februari, 2008

Corporate Governance (Continued)

Corporate governance is the process by which companies are directed, controlled and held to account. The Board of Directors of East African Cables Limited is responsible for the governance of the company and is accountable for the governance to the shareholders for ensuring that the company complies with the law, the highest standards of corporate governance and business ethics.

BOARD OF DIRECTORS

The Board consists of the Chairman, Z G Mbugua, five non-executive directors and the Managing Director Mugo Kibati. The directors' biographies appear on page.... All non-executive directors are considered by the board to be independent of management and have diverse skills, experience and competencies appropriate for the effective management for the company's business.

This board meets at least four times a year, with additional meetings when required. The directors are given appropriate and timely information so that they can maintain full and effective control over strategic, financial, operational and compliance issues. Except for the direction and guidance on general policy, the board has delegated authority for conduct of day-to-day business to the Managing Director. The Board nonetheless retains responsibility in maintaining the company's overall internal control on financial, operational and compliance issues. All our directors have also attended various corporate governance courses organized by accredited institutions.

All non-executive directors are subject to periodic reappointment in accordance with company's Articles of Association which requires that one third of the longest serving directors (since their last election) retire by rotation every year and if eligible their names are submitted for re-election at the Annual General meeting.

Corporate Governance (Continued)

BUSINESS ETHICS

The directors attach great importance to the need to conduct the business and operations of the company with integrity and in accordance with good corporate governance practice as set out in the Capital markets Authority Guidelines for listed companies in Kenya and any other internationally developed principles on good governance. The company adopts the best principles of good corporate culture that requires the directors and all employees to maintain the highest personal and ethical standards and to act in good faith in the interest of the company. The company has developed and implemented a code of conduct that sets out guidelines and rules, which are based on good governance principles of:

- Full compliance with the law
- Application of best accounting practices
- Safety of all stakeholders
- Product quality and customer focus
- Care of our environment
- Application of best business practices
- Fair competition

EQUAL EMPLOYMENT OPPORTUNITIES AND COMMITMENT TO OUR PEOPLE

The company is committed to provide equal opportunity to all employees and applicants on the basis of merit. Our practice is to comply with all laws prohibiting discrimination.

COMMITTEES ON THE BOARD

The board has three standing committees which meet regularly under the terms of reference set by the board.

Audit Committee

The board has constituted an audit committee which meets quarterly or as required. Its membership is composed of Davinder Sikand and Peter Kanyago who are non-executive directors. Its responsibilities include review of financial information in particular half year and annual financial statements, compliance with accounting standards, liaison with external auditors, remuneration of external auditors and maintaining oversight on internal control systems. Other responsibilities are to receive and consider the company's annual budget, to review the purchasing regulations and to consider recommendations for insurance renewals. The committee is guided by a charter from the board which outlines its mandate. The committee met six times in the year.

Staff committee

The committee meets quarterly or as required. Its membership is composed of Peter Kanyago and James Gachui who are non-executive directors. The committee is responsible for monitoring and appraising the performance of management, review of all human resources policies and determining the remuneration of senior management. The committee met three times in the year.

Strategy committee

The committee meets four times a year or as required. Its membership is composed of James Gachui, Z G Mbugua, Tony Wainaina and George Njoroge. James Gachui, Z G Mbugua and Tony Wainaina are non-executive directors of the company while George Njoroge, a non-executive director of East African Cables (Tz) Ltd was appointed to the committee in order to benefit from his expertise in the electrical business. The main responsibility of the committee is to chart the strategy of the company and to oversee implementation of strategic decisions of the board which include product and or geographical diversification, strategic partnerships and also reviews proposals involving capital expenditure.

The Managing Director is invited to all committees while senior managers are invited to the relevant committees. The committees submit their findings and recommendations at the quarterly board meetings.

COMMUNICATION WITH SHAREHOLDERS

The company is committed to ensuring that shareholders and the financial markets are provided with full and timely information about its performance. In the year the company accomplished this objective through regular investor briefings, distribution of the company's Annual Report and the release of notices in the national press of its quarterly and year end results. The company also holds statutory meetings as required. In this regard, the company complies with the obligations contained in the Nairobi Stock Exchange's Listing Rules, the Capital Markets Authority Act and the Kenyan Companies Act.

DIRECTORS' EMOLUMENTS AND LOANS

The aggregate amount of emoluments paid to the directors for services rendered during the financial year ended 2007 is disclosed on note to the financial year. Neither at the end of the financial year nor at any time during the year did there exist any arrangement to which the company is a party, whereby directors might acquire benefits by means of the acquisition of the company's shares.

All business transactions with the directors or related parties are carried out at arms length. Such transactions have been disclosed on note

INTERNAL CONTROLS

The company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These covers systems for obtaining authority for major transactions and for ensuring compliance with the laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties.

In reviewing the effectiveness of the systems of internal control, the board takes into account the results of all the work carried out to audit and review of the activities of the company.

A comprehensive management accounting system is in place providing financial and operational performance measurement indicators. Regular senior management meetings are held to monitor performance and to agree on measures for improvement.

INTERNAL AUDIT DEPARTMENT

In order to monitor the effectiveness of internal controls and minimize risks, the board has set up an internal audit department effective 2007.

Corporate Governance (Continued)

Director' interests in the shares of the company, the distribution of the Company shareholding and analysis of the ten major shareholders as at 31st December 2007 were as follows:

SHARE REGISTER DETAILS

Directors' interest

Name of Director	Number of Shares
Peter Tirus Kanyago	3,000
Mugo Kibati	250,000

Distribution of Shareholding

Shares range	No. of shareholders	No. of Shares held	%shareholding
0 - 500	7,807	2,024,805	1.00
501 - 5,000	7,091	11,577,325	5.72
5,001 – 10,000	514	4,034,746	1.99
10,001 – 100,000	668	18,687,043	9.23
100,001 – 1,000,000	79	19,595,341	9.68
1,000,000 – 9,999,999	5	146,580,740	72.39
Total	16,164	202,500,000	100.00

Analysis of ten major shareholders

No. Names (s)	No. of shares	% shareholding
1. Cable Holdings (Kenya) Ltd	143,329,420	70.78
2. Mehul Patel & Praksha Patel	2,034,500	1.00
3. Ali Mohamed Adam	1,667,450	0.82
4. Ali Mohamed Adam	1,409,800	0.70
5. Chandubhai Bhikabhai Patel	1,135,570	0.56
6. Mushtaq Gulamhussein	1,000,000	0.49
7. British American Insurance Co. (k) Ltd	676,260	0.33
8. The Jubilee Insurance Co. of Kenya Ltd	664,600	0.33
9. Nomura Nominees Ltd – A/C C.A.E	656,500	0.32
10. Travis (EA) Ltd	569,520	0.28
Total	153,143,620	75.63

Utawala wa shirika

Utawala wa shirika ni namna ambavyo makampuni yanaongozwa, yanavyodhibitiwa na kuendesha kwa njia yenye uwazi. Halmashauri ya Wakurugenzi wa kampuni ya East African Cables Ltd inawajibika katika kampuni na pia inahusika katika uongozi kwa wadau ili kuhakikisha kwamba kampuni hii inatimiza sheria, kiwango cha juu zaidi cha utawala wa shirika na maadili mema ya kibiashara.

HALMASHAURI YA WAKURUGENZI

Halmashauri hii inajumuisha mwenyekiti Z.G Mbugua, wakurugenzi watano wasio watendaji na mkurugenzi mkuu, Mugo Kibati. Wasifu wa wakurugenzi hawa unapatikana katika ukurasa wa Wakurugenzi wote wasio watendaji wanachukuliwa na halmashauri kuwa huru katika usimamizi wa wana tajiriba mbalimbali, uzoefu na ustadi mwafaka wa kuongoza wenye kuifaa shughuli ya kampuni.

Halmashauri hii hukutana angalau mara nne kwa mwaka ikiwemo mikutano mingine ijapobidi. Wakurugenzi hupata ujumbe mwafaka na kwa wakati ufaao ili kudumisha udhubiti kamili dhidi ya maswala ya kimkakati, kifedha, kiutendakazi na utimilifu. Isipokuwa kwa kuelekeza na kuongoza katika sera za jumla, halmashauri hii imebainisha mamlaka kwa mkurugenzi mkuu kuendesha shughuli za kila siku za kampuni. Isitoshe, halmashauri hii inabakia na jukumu la kuanzisha na kudumisha udhibiti wa ndani wa kampuni katika masuala ya kifedha, utendaji kazi na ikibali. Wakurugenzi wetu wote wamehudhuria kozi mbalimbali za utawala wa shirika zilizoandaliwa na taasisi zenye kutambulika.

Wakurugenzi wote wasio watendaji wanaweza kuteuliwa tena upya kwa kutegemea vifungu vya ushirikiano wa kampuni vinavyohitaji kuwa thuluthi moja ya wakurugenzi waliowahi kuhudumu kwa muda mrefu (tangu uchaguzi wao uliopita) wastaafu wawili baada ya wengine kila mwaka na ijapofaa, majina yao yawasilishwe katika mkutano mkuu wa mwaka ili wachaguliwe upya.

MAADILI MEMA YA KIBIASHARA

Wakurugenzi huambatisha umuhimu mkubwa katika haja ya kuendesha biashara na utendakazi wa kampuni kwa tajiriba kubwa na kwa mujibu wa zoezi la utawala mzuri wa shirika kama ilivyokusudiwa na mwongozo wa Halmashauri ya masoko ya fedha kwa makampuni yalioorodheshwa nchini Kenya yakiwemo maadili mengine ya kimataifa yanayohusu utawala bora. Kampuni hii pia inakubali maadili bora zaidi ya desturi nzuri za shirika zinazohitaji kuwa wakurugenzi na wafanyakazi wote wadumishe viwango vya juu uadilifu na matendo yao yawe ni yenye nia njema kunufaisha kampuni. Kampuni hii imeanzisha na kutekeleza kanuni ya maadili mema inayodhamiria miongozo na kanuni zenye msingi wa maadili mema ya:

- Kutimiza sheria kikamilifu
- Kutumia njia bora zaidi za uhasibu
- Usalama wa washika dau wote
- Ubora wa bidhaa na kuangazia wateja
- Kutunza mazingira yetu
- Kutumia njia bora zaidi za kuendesha biashara
- Ushindani wa haki

UTOAJI WA NAFASI SAWA ZA KAZI NA UWAJIBIKAJI KWA WATU WETU

Kampuni hii imejitolea kuwapa nafasi sawa wafanyakazi na wanaoomba nafasi za kazi kwa misingi ya stahili zao. Desturi yetu ni kutimiza sheria zote zinazopiga marufuku ubaguzi.

Kamati za halmashauri

Halmashauri hii ina kamati tatu simamizi zinazokutana mara kwa mara chini ya hadidu za rejea zilizotungwa na halmashauri hii.

Kamati ya ukaguzi wa mahesabu

Halmashauri hii imeanzisha kamati ya ukaguzi wa mahesabu ambayo hukutana kila baada ya miezi mitatu au inavyotarajiwa. Uanachama wake unajumuisha Davinder Sikand na Peter Kanyago ambao ni wakurugenzi wasio watendaji. Majukumu ya kamati hii ni pamoja na kukagua taarifa za kifedha za kila mwaka, kutimiza viwango vya uhasibu, ushirikiano na wahasibu wengine wa nje ya shirika, kuwazawadi wahasibu wasiokuwa wa kampuni na kudumisha uandalizi was mfumo was udhibiti wa mambo ya ndani. Majukumu mengine ni kupokea na kuzingatia bajeti ya kampuni ya mwaka, kuchunguza taratibu za ununuzi na kuzingatia mapendekezo kwa matumizi ya mtaji na kukata bima upya. Kamati hii inaongozwa na mkataba kutoka kwa halmashauri, ambao unadokeza mamlaka yake.

Kamati ya wafanyakazi

Kamati hii hukutana kila baada ya miezi mitatu ama inapohitajika. Uanachama wake unajumuisha Peter Kanyago na James Gachui ambao ni wakurugenzi wasio watendaji. Kamati hii inawajibika kufuatilia na kutathmini utendaji wa wasimamizi, kuchunguza sera zote za utendajikazi n kuamua kuhusu utuzwaji wa wasimamizi wakuu.

Kamati ya Maarifa

Kamati hii hukutana mara nne kwa mwaka ama inavyohitajika. Uanachama wake unawajumuisha James Gachui, Z G Mbugua, Tony Wainaina na George Njoroge. James Gachui, Z G Mbugua na Tony Wainaina ni wakurugenzi wa kampuni wasio watendaji ilhali George Njoroge, ambaye pia ni mkurugenzi, asiye mtendaji, wa East African Cables (Tz) Ltd aliteuliwa kwenye kamati ili kuinufaisha kutokana na utaalumu wake katika maswala ya umeme. Jukumu kubwa la kamati hii ni kuchunguza maarifa ya kampuni na kuhakikisha utekelezaji wa maamuzi ya kimaarifa ya halmashauri ambayo ni kupanua maeneo ya mauzo, ubia wa kimaarifa na kuchunguza mapendekezo yanayohusu matumizi ya mtaji.

Mkurugenzi mkuu hualikwa katika kamati zote ilhali wasimamizi wengine wakuu hualikwa kwa kamati husika. Kamati hizo hatimaye huwasilisha ugunduzi wao pamoja na mapendekezo yao katika mkutano wa robo mwaka wa halmashauri.

MAWASILIANO NA WADAU

Kampuni hii imejitolea kuhakikisha kuwa wadau na masoko ya fedha yanapata habari kamili kuhusu utendaji wake kwa wakati ufaao. Katika mwaka huu, kampuni hii ilitimilisha lengo hili kupitia ujulishaji wa wawekezaji, ugawanyaji wa ripoti ya kampuni ya kila mwaka na kutolewa kwa taarifa za matokeo yake ya kila robo-mwaka na ya mwisho wa mwaka kwa vyombo vya habari vya kitaifa. Kampuni hii vilevile hufanya mikutano ya kisheria kama inavyohitajika. Kwa namna hivi, kampuni hii inatimiza wajibu uliowekwa katika sheria za uratibishaji za soko la hisa la Nairobi, sheria iliyopitishwa na bunge ya halmashauri ya masoko ya fedha na sheria iliyopitishwa na bunge inayohusu makampuni nchini Kenya.

UJIRA NA MIKOPO YA WAKURUGENZI

Kiasi cha mshahara waliolipwa wakurugenzi kwa huduma walizotoa katika kipindi cha matumizi ya fedha kilichoisha mwaka 2007 kimefafanuliwa katika kijejezi cha kwa taarifa za kifedha. Sio mwishoni mwa kipindi cha matumizi ya fedha au katika kipindi chochote kile mwakani kulipotokea mpango wowote unaoihusu kampuni, ambapo wakurugenzi wangalijilimbikia faida kwa umiliki wa hisa za kampuni. Uendeshaji wa shughuli zote za kibiashara na wakurugenzi au pande husika unafanya kwa uwazi. Shughuli kama hizo zimefafanuliwa katika kijejezi cha

UDHIBITI WA MAMBO YA NDANI

Kampuni hii ina taratibu bainifu na udhibiti wa kifedha ili kuhakikisha utoaji wa ripoti za uhasibu zilizokamilika na zenye taarifa kamili. Haya yanajumuisha mifumo ya kujipa mamlaka kwa shughuli muhimu na kuhakikisha uzingatifu wa sheria na taratibu ambazo zina athari kubwa kifedha. Taratibu pia zimewekwa kuhakikisha kwamba rasilimali zinaangaliwa vizuri kihali na kwamba muundo wa shirika unabakia ili kuhakikisha utengaji maalumu wa majukumu.

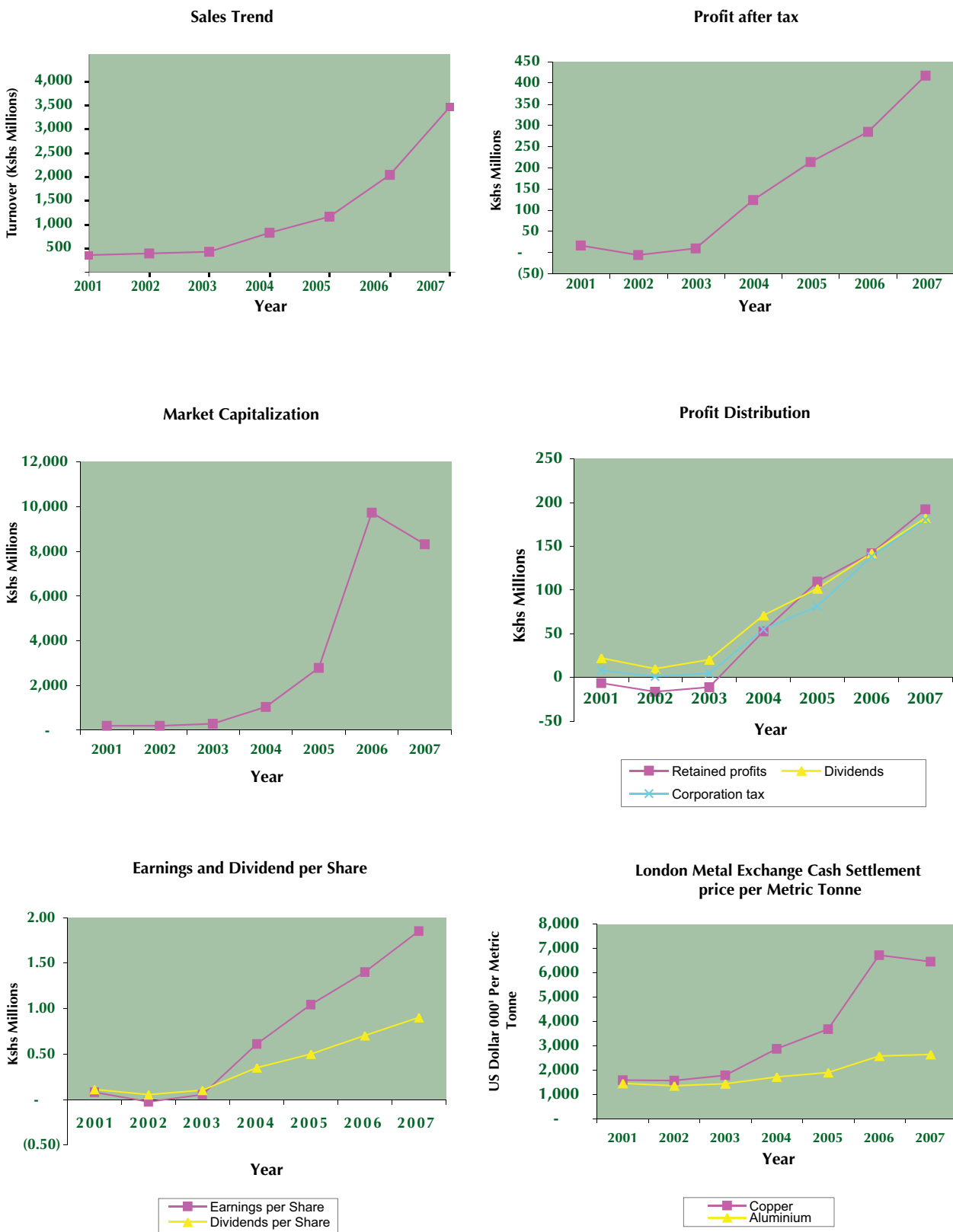
Katika kukagua uwezo wa taratibu za udhibiti wa mambo ya ndani, halmashauri ya wakurugenzi hutilia maanani matokeo ya kazi zilizotekelezwa katika kukagua mahesabu na kuchunguza shughuli za kampuni.

Mfumo wa uwajibikaji mpana wa wasimamizi upo ili kuweka vipimo vya kifedha na utendaji. Mikutano ya mara kwa mara ya wasimamizi wakuu hufanywa kuchunguza utendaji na kuafikiana kuhusu taratibu za kujiimarisha.

IDARA YA UKAGUZI WA MAHESABU YA NDANI

Ili kuchunguza utendaji bora wa udhibiti wa mambo ya ndani na kupunguza athari, halmashauri hii imeanzisha idara ya ukaguzi wa mahesabu ya ndani iliyoanza uwajibikaji mwaka huu (2007).

Comparative Results



STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the financial statements of East African Cables Limited set out on pages 6 to 34 which comprise the balance sheets of the group and the company at 31 December 2007, and the group's income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

The Directors responsibility includes: determining that the basis of accounting described in Note 1 is an acceptable basis for preparing and presenting the financial statements in the circumstances; designing, implementing and maintaining internal control relevant to the preparation and presentation of these financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Under the Kenyan Companies Act the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the Directors to ensure the group keeps proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the group and the company's ability to continue as a going concern and have no reason to believe the group and the company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 12 February 2008 and were signed on its behalf by:

Director:_____

Director:_____

TAARIFA YA MAJUKUMU YA WAKURUGENZI

Sheria ya Makampuni inawataka wakurugenzi watengeneze orodha ya hesabu ya kila mwaka inayoonyesha ukweli na usawa wa hali ya Kampuni kila mwisho wa mwaka wa kampuni. Sheria hiyo inawataka wakurugenzi wahakikishe ya kuwa vitabu vya hesabu vinavyoonyesha kwa usahihi unaoaminika wakati wote vinaandika vikionyesha hali ya kifedha ya kampuni. Wakurugenzi wanapaswa pia kulinda na kutunza mali ya kampuni.

Wakurugenzi wanawajibika kwa hesabu za mwaka ambazo zimeandikwa kwa mtindo unaofaa zikishuhudiwa na maamuzi na makadirio yanayoaminika kulingana na sera za hesabu zinazokubalika na inavyotakikana na sheria ya Kampuni.

Wakurugenzi wanahisi kwamba hesabu zilizoandikwa zinaonyesha ukweli na usawa wa hali ya kifedha ya kampuni na matokeo ya biashara yake. Pia wakurugenzi wanawajibika kuweka vitabu vinanyoweza kutegemewa ili kuandika hesabu ya kampuni na vile vile kuweka usimamizi mzuri wa fedha.

Hakuna dokezo lolote lililowafikia wakurugenzi kuonyesha kwamba kampuni haitaendelea na shughuli zake kwa kipindi cha miezi kumi na mbili ijayo kuanzia tarehe ya taarifa hii.

Z.G Mbugua
(Chairman)

Mugo Kibati
(Managing director)

1.0 Chairman's Report

Your company, East African Cables has on its 41st birthday continued to register impressive performance. Buoyed by growing regional economies and opportunities, the past trading year has seen East African Cables scale new heights as the premier cable and conductors' manufacturer in the region. Our overall diversification strategy adopted in the past three years has begun to bear fruits.

To this end, I am delighted to present you shareholders, the annual report and financial statements for the year ended 31st December 2007.

Overview of the Business Environment

The economic activity remained upbeat in the fourth quarter of 2007 despite the heightened political activity, the global credit crunch and high energy cost. Most sectors of the economy experienced continued growth with data from Central bank of Kenya and Central Bureau of Statistics showing improved sustained recovery. Notable sectors that drove the economy were tourism, telecommunications, financial services and trading. The economy which grew by 5.7 percent in 2006 is expected to improve further to 6.2 percent in 2007.

Within the year, increased demand for our range of products contributed positively to our performance. In particular, the growth in the building and construction sector was sustained leading to positive growth for East African Cables which continues to play a key role as the preferred quality cables and conductors' manufacturer and supplier.

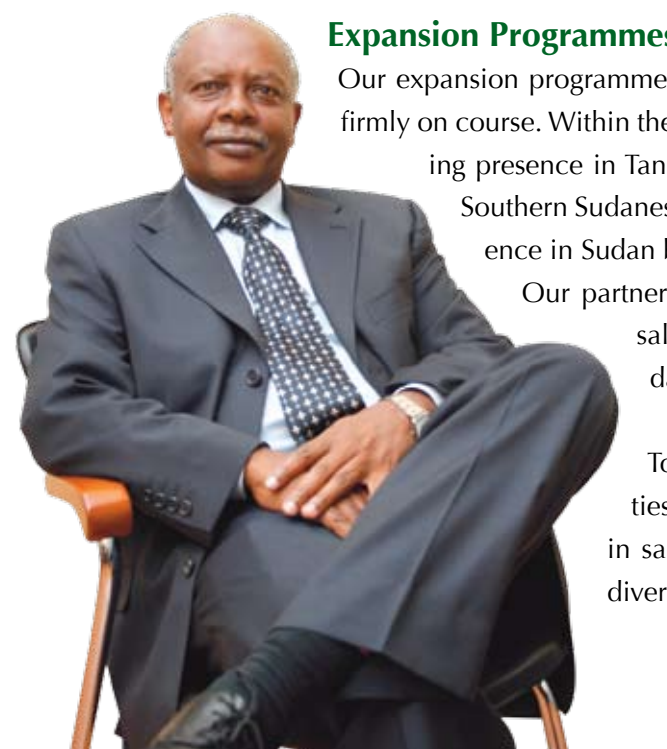
However, within the same period, the influx of cheap sub standard cables largely sourced from the Far East continued to affect our sales. To manage the situation, we have been actively lobbying the government and all the stakeholders to emphasize on the dangers posed by sub standard cables.

Expansion Programmes

Our expansion programme on both the geographical presence and product portfolio is still firmly on course. Within the past year, we have managed to register a strong sales and marketing presence in Tanzania, Rwanda and Uganda. Plans to expand into the upcoming Southern Sudanese market are also on course and we expect to have a market presence in Sudan by the close of this financial year.

Our partnership with Nexans has also served to boost our income through sales generated from a range of premium products which include data cables and accessories.

To a large extent, fluctuations in the aluminium business from utilities in the different countries have been mitigated by robust growth in sales in Tanzania and Uganda, a clear indication that the Group's diversification strategy is firmly on course.



Strategic Business Plan

As announced last year, we shall continue to invest resources in realizing our corporate goals in terms of development of EAC management and business culture. Aspects such as consolidation and growth of the domestic market, expansion of the business into the region, taking advantage of the energy sector reforms and increasing value for our shareholders will continue to be our focus points.

This year, we shall also step up business realignment plans which will include adopting new customer focused commercial strategies. Given our market standing, we are reviewing our existing commercial approaches to avoid being complacent.

Financial Performance

The financial results for the year ended 31st December 2007 are encouraging. The group recorded growth in turn over and profit before tax of 69% and 41% respectively. For the first time, the group surpassed the Kshs 3 billion mark on turn over having crossed the Kshs 2 billion and 1 billion mark in 2006 and 2005 respectively. Earnings per share at Kshs 1.85 (2006 – Kshs 1.40) is an increase of 32% over the previous year.

Reporting Standards

The company continues to adopt the presentation and disclosure requirements of the International Financial Reporting Standards (IFRS) as required by the Institute of Certified Public Accountants of Kenya (ICPAK). Changes and developments in the standards within the financial period under review have been complied with.

Dividend

Following the improved performance, I am pleased to report that the Board of Directors is recommending to the Annual General Meeting a final dividend of KShs 0.90 per share. This is an increase over KShs 0.70 per share distributed in 2006.

Our objective to provide investors with sustainable long term shareholder value has been maintained throughout the period under review.

Future Outlook

Given the prevailing economic conditions, indicators confirm that the Kenyan economy may pick a growth momentum within the year despite earlier setbacks. The future outlook according to economic experts looks positive especially since events on the political sphere appear to have stabilized.

Besides trading elements, I feel obliged to remind you that we all owe our motherland a very high level of responsibility.

Acknowledgements

I wish to acknowledge with appreciation the vital support and guidance given by the board; management team and the employees for the good work, continued dedication and loyalty to the company. I additionally would like to extend very special and sincere gratitude to our suppliers and customers for their continued support and to you the shareholders for your commitment and confidence in the company.

Zeph Mbugua
Chairman

1.0 Ripoti ya Mwenyekiti

Kampuni yenu, East African Cables, kwa mwaka wa arobaini na moja imeendelea kuonyesha kunawiri. Ikidhibitiwa na chumi na fursa za eneo hili zinazoendelea kupanuka, kipindi cha biashara kilichopita kimeifanya East African Cables kupanda hadhi ya juu kama kampuni kuu ya kuzalisha nyaya na vipitisha –meme katika eneo hili. Mkakati wetu wa upanuzi tuliouanzisha miaka mitatu iliyopita umeanza kuzaa matunda.

Kwa namna hii, nina furaha kuwasilisha kwenu wadau ripoti ya kila mwaka na taarifa za kifedha za kipindi cha matumizi ya fedha cha mwaka kilichoisha Desemba 31, 2007.

Angazio la mazingira ya kibiashara

Shughuli za kibiashara zilisalia imara katika robo ya mwisho ya mwaka wa 2007 licha ya hekaheka za kisiasa, kudorora kwa hali ya ukopesaji ulimwenguni pamoja na ongezeko la gharama za nishati. Kulingana na taarifa kutoka Benki kuu ya Kenya na Halmashauri ya kuhifadhi ripoti za uchunguzi, sekta nyingi za uchumi ziliendelea kuonyesha kunawiri na ukuaji dhabiti.

Miongoni mwa sekta hizo zilizokuza uchumi ni pamoja na utalii, mawasiliano, huduma za kifedha na biashara. Kwa jinsi hii, uchumi ambao ulikua kwa asilimia tano nukta saba (5.7%) mwaka wa 2006 unatarajiwa kuimarika zaidi hadi kufikia asilimia sita nukta mbili (6.2%) mwaka 2007.

Katika mwaka huu, uhitaji wa aina mbalimbali za bidhaa zetu ulichangia pakubwa utendaji wetu. Hasa, ukuaji katika sekta ya ujenzi ulidhibitiwa, hivyo kuchangia imariko la East African Cables ambayo inaendelea jukumu lake kama kampuni ya pekee yenye kuzalisha na kusambaza nyaya na vipitisha-meme vya viwango vya juu.

Hata hivyo, katika kipindi hichohicho, uagizaji wa nyaya duni na za bei ya chini kutoka hasa Mashariki ya mbali uliendelea kuathiri mauzo yetu. Ili kudhibiti hali hiyo, tumekuwa mstari wa mbele kuishinikiza serikali na washikadau wote watilie mkazo hatari zinazoweza kusababishwa na nyaya za hali duni.

Mipango ya upanuzi

Mipango yetu ya upanuzi katika uwepo wetu kimaeneo pamoja na nafasi ya bidhaa zetu ingalipo madhubuti. Katikati ya mwaka uliopita, tumemudu kurekodi mauzo ya juu pamoja na uwepo katika masoko nchini Tanzania, Rwanda na Uganda. Vilevile, mipango ya kupanua soko katika eneo la Kusini mwa Sudan linaloimarika ipo njiani na tunatarajia kuwa na soko nchini Sudan kufikia mwisho wa kipindi hiki cha matumizi ya fedha.

Ubia wetu na Nexans vilevile umetuwezesha kuimarisha pato letu kupitia mauzo yaliyotokana na bidhaa mbalimbali mashuhuri, zikiwemo nyaya na viambata vyao.

Kwa kiasi kikubwa, kupanda na kushuka kwa biashara ya alumini kutokana na utumizi tofauti katika mataifa mbalimbali kumechangiwa pakubwa na ukuaji mzuri wa mauzo nchini Tanzania na Uganda, ishara kwamba mkakati wa shirika hili wa upanuzi upo imara na upo njiani.

Mpango wa Kimkakati wa Kibiashara

Kama ilivyotangazwa mwaka uliopita, tutaendelea kuwekeza rasilimali ili kufikia malengo yetu kama shirika katika kustawisha usimamizi wa East African Cables na desturi za kibiashara. Masuala kama ufinyanzi na ukuaji wa soko la nyumbani, upanuzi wa biashara katika eneo kutokana na mabadiliko katika sekta ya nishati na kuwaongezea wadau wetu thamani ya hisa yatakuwa hoja zetu za kutazamia.

Mwaka huu, tutaimarisha pia mipango mipya ya kibiashara itakayojumuisha kuridhi mikakati ya matangazo mapya ya kibiashara yatakayowalenga wateja moja kwa moja. Kutokana na imara yetu katika soko, tunaangalia upya matangazo yetu yaliyopo ili yasiwe yenye kutoridhiana.

Utendaji wa Kifedha

Matokeo ya kifedha ya kipindi cha matumizi ya fedha kilichoisha Desemba 31, 2007 ni yenye kutia moyo. Shirika hili lilirekodi ukuaji wa asilimia sitini na tisa (69%) katika ubadilishanaji, na faida ya asilimia arobaini na moja (41%) ya mauzo, kabla ya kutozwa ushuru. Kwa mara ya kwanza, shirika hili lilipita alama ya shilingi bilioni tatu (3bn) kwa faida katika ubadilishanaji baada ya kiwango cha bilioni mbili na bilioni moja katika mwaka wa 2006 na 2005 mtawalia. Riba ya shilingi moja na senti themanini na tano (Ksh. 1.85) kutoka shilingi moja na senti arobaini (Ksh. 1.40) kwa kila hisa ni ongezeko la asilimia thelathini na mbili (32%) dhidi ya mwaka uliopita.

Viwango vya kuripoti

Kampuni hii inaendelea kuzingatia azimio la Halmashauri ya Kimataifa ya Uripoti wa Kifedha (IFRS) ya uwasilishaji na ufichuzi kama inavyohitajika na Taasisi ya Wahasibu Halali wa Umma Kenya (ICPAK). Mabadiliko na ustawi katika viwango hivyo katika kipindi cha matumizi ya fedha cha mwaka unaoangaziwa, yametekelezwa.

Gawio

Kufuatia imariko la mafanikio katika utendaji, nina furaha kuripoti kuwa halmashauri ya wakurungezi inapendekeza kwa mkutano mkuu wa mwaka riba ya senti tisini (Ksh.0.90) kwa kila hisa. Hili ni ongezeko dhidi ya senti sabini (Ksh.0.70) kwa kila hisa, ambayo ililipwa mwaka wa 2006.

Lengo letu la kuwapa wawekezaji thamani ya hisa wanayoweza kumudu kwa muda mrefu limedumishwa katika kipindi hiki kinachoangaziwa.

Matarajio ya Baadaye

Kufuatia hali za sasa za kiuchumi, viashiria vinahakikisha kwamba uchumi wa Kenya unaweza kuimarika katika kipindi cha mwaka mmoja licha ya madhara yaliyotukumba. Kulingana na wataalam wa kiuchumi, matarajio ya baadaye yamkini ni mazuri, hasa baada ya kutulia kwa msukosuko wa kisiasa.

Mbali na shughuli za kibiashara, naona bora kuwakumbusha kuwa sote tuna jukumu la kuonyesha uwajibikaji kwa taifa letu.

Shukurani

Ningependa kushukuru kwa dhati kubwa, jopo la bodi ya wasimamizi kwa kutuunga mkono na kutupa mwelekeo mwema, na wafanyikazi kwa kazi yao bora, kujitolea kwao na uaminifu wao kwa kampuni. Zaidi, ningependa kuelekeza shukurani zangu za dhati kwa wasambazaji wa bidhaa zetu na wateja wetu kwa kuendelea kutuunga mkono na vilevile kwenu wadau kwa kuwajibika kwenu na imani yenu kuwekeza na kampuni hii.

Zeph Mbugua
Mwenyekiti

2.0 Group Managing Director's Report

Strategic Intent

Last year, we maintained a very clear focus on our previously announced strategic intent. Given the results achieved this far, I am inclined to confirm that we shall continue to pursue the same strategic intent albeit with some necessary improvement reviews and corporate adjustment programmes.

Human Capital

For us, our human resource base remains our most valued asset and we have subsequently strived to maintain an excellent working environment. Our human resource management strategy also involves ensuring that we attract and retain outstanding talent.

As part of the business alignment programme we have appointed distributors and also adopted Information Technology systems within our group operations as part of ongoing cost management measures.

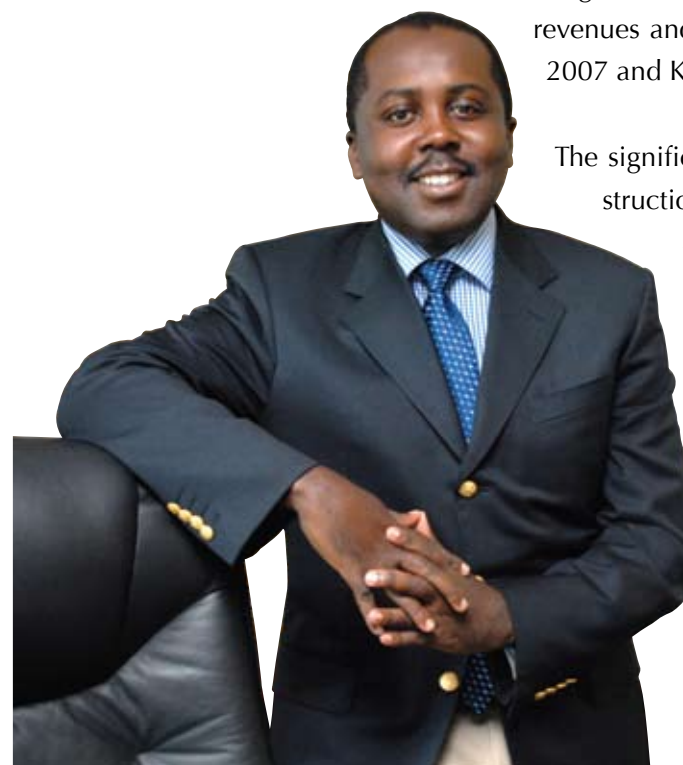
The appointment of exclusive distributors in the country serves to increase accessibility to its customers and also reduce the number of internal staff required to handle customer transactions.

Within the overall corporate adjustment process, East African Cables has integrated a group-wise Wide Area Network (WAN) system which is expected to offer significant cost benefits on the company's group communication needs. The WAN covers two locations in Nairobi and one each in Mombasa, Kampala and Dar es Salaam.

Business Performance Overview

Sales and Financial Performance

Within the period under review, our trading environment was characterized by stiff competition and increasing commodity prices globally. However, despite the challenges, the group's sales revenues and pre-tax profits grew from Kshs 2 billion in 2006 to Kshs 3.5 billion in 2007 and Kshs 422 million to Kshs 597 million respectively.



The significant growth is attributed to continued growth in the building and construction industry. A brand communication campaign unveiled early last year across the group markets has also helped endear the company to the markets and raise our brand awareness. This campaign has enabled us to significantly entrench our unique selling points in the market.

Business from the regional utility companies have been encouraging and confirms the sustainability and viability of the ongoing group's diversification strategy which aims at diversifying aluminium business from the traditional concentration on one customer.

Capacity and Efficiency Enhancement

Following the completion and commissioning of the new Addis Ababa road manufacturing plant, I am glad to confirm that we have managed to raise our production capacity.

The new optimised manufacturing plant has enabled the group to commence the much needed transition to the new cost effective manufacturing practices. With this facility, we are well placed to manufacture products for the emerging markets particularly for Arial Bundled Conductors (ABC).

Efforts to rationalise our production planning have also continued to bear fruits as has our partnership with Nexans. Additionally the appointment of exclusive distributors will improve our accessibility to regional markets, while reducing transaction related costs.

Business Challenges

As in the year 2006, the past financial year was characterized by erratic price changes at the London Metal Exchange. Such price fluctuations have the potential to adversely affect our productions plans and budgets as they affect the pricing of our key raw materials such as Copper and Aluminium.

The challenge posed by the influx of sub standard cables in the market largely imported from the Far East continues to negatively impact our sales. However, we have stepped up our lobbying initiatives and advocacy campaigns on this issue with the relevant authorities within the group market. Already, we have seen a marked improvement in Rwanda, Uganda and Kenya and hope that these efforts will continue to bear fruit.

Environmental Audit

The company continues to comply with the requirements of the environmental legislation Environmental Management and Co-ordination Act (EMCA) 1999. I am happy to report that the company submitted year 2007 report to the National Environmental Management Authority (NEMA). The company will continue to engage NEMA to ensure a safe environment for all.

Regional Strategic Initiatives

As part of our regional market focus, we have enhanced our human resource base with specific duties covering our regional market development programme. Alongside the country unit heads, we have beefed up the team managing our regional business with the entry of a Business Development Manager to oversee specific elements of the regional programs.

Still on this front, we are actively enhancing our business relations with all the regional utilities as part of our regional diversification programme.

Given the commitments by the respective governments to raise domestic electrical connections coupled by accelerated rural electrification and grid extension programs, I am optimistic that power utilities will continue to play a key role in driving our performance upwards this year.

Acknowledgements

Last but not least, I would like to thank our customers, suppliers and partners, and my fellow staff members for their continued commitment.

I also wish to thank the Chairman and Board of Directors for their support and guidance to the company and we remain committed to the greater success of the company and the regional economies.

At East African Cables, we have rededicated ourselves to supporting growth in the region.

Mugo Kibati

2.0. Ripoti ya Mkurugenzi Mkuu wa Shirika

Lengo la kimkakati.

Mwaka uliopita, tulidumisha mtazamo ulio wazi katika malengo ya kimkakati yaliyotangazwa awali. Kwa mujibu wa matokeo yaliyopatikana kufikia sasa, sina budi kuhakikisha kwamba tutazidi kutilia maanani lengo hilo la kimkakati ingawa twaweza kuliimarisha kwa mabadiliko yanayofaa pamoja na mipango ya kulipanua shirika.

UTENDAJIKAZI.

Kwetu sisi, msingi wetu wa utendajikazi unabakia kito cha thamani sana na mara kwa mara tumejitahidi kudumisha mazingira bora zaidi ya kufanya kazi. Mkakati wetu wa usimamizi wa wafanyikazi vilevile unajumuisha kuhakikisha kuwa tunavutia na kuhifadhi vipawa vya kipekee.

Kama sehemu ya uelekezi mwema wa biashara, tumeteua wasambazaji wa bidhaa na pia kuridhi mfumo wa teknolojia ya mawasiliano katika shughuli za shirika kama sehemu ya hatua za usimamizi bora unaoendelea.

Uteuzi huo wa wasambazaji wa kipekee nchini unasaidia kuwafikia wateja kwa urahisi na pia kupunguza idadi ya wafanyikazi ambao wangehitajika kuwashughulikia wateja ndani ya kampuni.

Katika zoezi la jumla la kulipanua shirika, East African Cables imeleta pamoja mfumo wa mtandao wa eneo pana (WAN) ambao ni wa kundi, na ambao unatarajiwa kupunguza maradufu gharama za mahitaji ya mawasiliano za kampuni. Mtandao huo unahudumu maeneo mawili jijini Nairobi na eneo mojamoya katika miji ya Mombasa, Kampala na Dar-es-salaam.

Mtazamo wa Utendaji wa Biashara

Utendaji wa Mauzo na Fedha.

Katika kipindi kinachoangaziwa, mazingira yetu ya biashara yalikusishwa na ushindani mkali ikiwa ni pamoja na ongezeko la bei za bidhaa ulimwenguni. Hata hivyo, licha ya changamoto hizo, mapato ya mauzo na faida kabla ya kutozwa ushuru yaliimarika kutoka shilingi bilioni mbili mwaka wa 2006 hadi shilingi bilioni tatu nukta tano (3.5 bn)mwaka wa 2007 na shilingi milioni 422 hadi shilingi milioni 597 mtawalia.

Ukuaji huo maridhawa umetokana na kuendelea kukua katika sekta ya ujenzi. Kampeni iliyozinduliwa mwaka jana kutangaza aina za bidhaa katika masoko ya shirika imesaidia kupendekeza kampuni kwenye masoko na kuongeza kutambulika kwa bidhaa zetu. Kampeni hii imetuwzesha kutambua mbinu zetu muhimu na za kipekee za uuzaji katika soko.

Biashara kutoka kwenye makampuni ya huduma katika eneo hili imekuwa yenye kutia moyo na inahakikisha udumishwaji, pamoja na msisimko wa mkakati wa upanuzi wa shirika unaoendelea na ambao unalenga kupanua biashara ya alumini kutoka kwenye utamaduni wa kujikita kwa mteja mmoja.

Uwezo wa Uendelezaji Utendaji Bora.

Kufuatia kukamilishwa na kufunguliwa rasmi kwa kiwanda kipya cha uzalishaji kilichopo kwenye barabara ya Addis Ababa, ni furaha yangu kuhakikisha kwamba tumeweza kuongeza uwezo wetu wa uzalishaji.

Kiwanda hicho chenye uwezo mkubwa wa uzalishaji kimeliwezesha shirika kufanya mabadiliko yanayolenga shughuli mpya za uzalishaji kwa gharama nafuu. Tukiwa na kiwanda hiki, tuko katika nafasi bora ya kuzalisha bidhaa kwa masoko yanayoibuka, hasa kwa vipitisha umeme vya angani (ABC).

Jitihada za kugawanya mpangilio wetu wa uzalishaji pia zimeendelea kuzaa matunda kama ambavyo umefanya ubia wetu na Nexans. Kwa kuongezea, uteuzi wa wasambazaji wa bidhaa utaimarisha kufika kwetu kwa masoko ya eneo lote huku ukipunguza gharama za shughuli husika.

Changamoto za Kibiashara.

Kama ilivyokuwa mwaka wa 2006, kipindi cha matumizi ya fedha cha mwaka uliopita ulikumbwa na mabadiliko ya bei ya mara kwa mara katika soko la ubadilishanaji wa vyuma la London (LME). Mabadiliko kama hayo yasiyoweza kutabirika yanaweza kudhuru vibaya mipango yetu ya uzalishaji na bajeti kwani yanaathiri ukadiriaji wa bei za malighafi yetu muhimu kama vile shaba nyekundu na alumini.

Changamoto inayotokana na uagizaji wa nyaya duni hasa kutoka Mashariki ya mbali katika masoko yetu inaendelea kutupa matokeo mabaya katika uuzaji. Hata hivyo, tumezidisha juhudi zetu za kutoa shini-kizo, pamoja na kampeni za uhamasisho katika suala hili kwa pamoja na halmashauri husika katika soko hilo la shirika. Tayari tumeona maendeleo mazuri nchini Rwanda, Uganda na Kenya na ni matumaini yetu kuwa juhudi hizi zitaendelea kuzaa matunda.

Ukaguzi wa Kimazingira.

Kampuni hii inaendelea kutimiza matakwa ya sheria za kimazingira - sheria kuhusu Uratibu na Udhibiti wa Mazingira (EMCA) za mwaka wa 1999. Nina furaha kuripoti kuwa kampuni hii iliwasilisha ripoti yake ya mwaka wa 2007 kwa Halmashauri ya Kitaifa inayoshughulikia Udhibiti wa Mazingira (NEMA). Kampuni hii itaendelea kuishirikisha NEMA kuhakisha mazingira safi kwa wote.

Uvumbuzi wa Kimkakati wa Kieneo.

Kama mojawapo ya mtazamo wetu kwa soko la kieneo, tumewapa wafanyikazi wetu wajibu maalum unaohusu mpango wa kustawisha soko la eneo hili. Pamoja na wakuu wa vitengo vya nchi, tumeimarisha kikosi kinachosimamia shughuli zetu za eneo zima kwa usaidizi wa meneja wa ustawishaji wa Biashara ili aendeshe shughuli fulani za mipango ya kieneo.

Nikingali katika mtazamo huu, tunashughulika kuendeleza ushirikiano wetu wa kibiashara pamoja na wahudumu wote katika eneo kama sehemu ya mpango wetu wa upanuzi.

Kufuatia kujitolea kwa serikali husika kuzidisha viwango vya uunganishaji umeme kwa matumizi ya nyumbani, sambamba na kuendelezwa kwa uunganishwaji wa umeme mashambani na upanuzi wa fito-meme, nina matumaini kuwa huduma za umeme zitaendelea kutekeleza majukumu muhimu katika kusogeza mbele utendaji wetu mwaka huu.

Shukurani.

Hatimaye, ningependa kuwashukuru wateja wetu, wasambazaji wa bidhaa zetu na washirika, na wafanyikazi wenzangu kwa kujitolea kwao daima.

Ningependa pia kumshukuru mwenyekiti, na Halmashauri ya Wakurugenzi kwa kutuunga mkono na uelekezi wao kwa kampuni na bado tumejitolea kwa ufanisi mkubwa wa kampuni na chumi za eneo zima.

Katika East African Cables, tumejitolea tena kuunga mkono ukuaji katika eneo hili.

Mugo Kibati.

3.0 Corporate Social Responsibility Report

In this day and age, corporate social responsibility practices are increasingly taking the pride of place as the private sector's way of integrating the economic, social, and environmental imperatives of their activities.

For us at East African Cables, the concept of CSR obligates us to act as a responsible corporate citizen of Kenya, Uganda, Tanzania, Rwanda and all the other countries where we work. For this reason, we strive to ensure that our operations are in tune with societal expectations and are indeed sustainable.



At East African Cables, CSR also frequently involves creating innovative and proactive solutions to societal and environmental challenges, as well as collaborating with both internal and external stakeholders to improve CSR performance.

Indeed, particular attention is taken to ensure that all our production and related processes guarantee a sustainable future for all countries by limiting to below zero any negative components. We also strive to ensure that we are at hand to lend a helping hand to our brother and sisters in need.

In the past year, we have actively adopted a number of revised CSR policies to guide our production and related processes. On social investment, we have assisted various community development organizations to facilitate sustainable development.

Over the past year, we have supported causes such as the Diabetes Management and Information centre, Institute of Electrical and Electronics Engineers, Wema Centre, Huruma Children's Home and participated in Blood Donation campaigns.

3.0 Ripoti ya Uwajibikaji wa Kijamii wa Shirika

Katika siku na kipindi hiki, zoezi la uwajibikaji wa shirika kwa jamii kama njia ya sekta ya kibinafsi kuleta pamoja shughuli muhimu za kiuchumi, kijamii na kimazingira linazidi kujivunia nafasi nzuri.

Kwetu sisi katika East African Cables, dhana ya uwajibikaji wa shirika kwa jamii inatupa jukumu la kuchukua hatua kama shirika mwananchi wa Kenya, Uganda, Tanzania, Rwanda na katika mataifa yote mengine tunakufanya kazi. Kwa sababu hii, tunaazimia kuhakikisha kwamba operesheni zetu zinaingiliana na matarajio ya kijamii na vilevile ziweze kudumishwa.



Katika East African Cables, uwajibikaji wa shirika kwa jamii unahusisha pia kubuni na kuweka hatua za mara kwa mara za kutafuta suluhu kwa changamoto za kijamii na kimazingira pamoja na ushirikiano na washikadau wa ndani na wa nje ili kuimarisha utendaji wa uwajibikaji wa shirika kwa jamii.

Ama kweli, uzingatifu maalum unaangaliwa kuhakikisha kwamba uzalishaji na shughuli zote husika zinahakikisha kwa mataifa yote, mustakabali unaoweza kudumishwa kwa kupunguza athari mbalimbali hadi chini ya sufuri. Pia, tunajitahidi kuhakikisha kwamba tupo tayari kuwasaidia ndugu na dada zetu walio na uhitaji.

Mwaka uliopita, tuliridhi baadhi ya sera zilizorejelewa za uwajibikaji wa masharika kwa jamii ili kuelekeza uzalishaji wetu na shughuli husika. Kwa upande wa uwekezaji wa kijamii, tumeyasaidia masharika mbalimbali ya ustawi wa kijamii kuwezeha ustawi wa kumudika.

Kwa kipindi cha mwaka uliopita, tumeunga mkono vyanzo kama vile Kituo cha kutoa Habari za namna za Kudhibiti ugonjwa wa Kisukari, Taasisi ya Wahandisi wa Umeme na Bidhaa zake, Kituo cha Wema, Makao ya watoto ya Huruma na pia kushiriki katika kampeni za kutoa damu.

REPORT OF THE INDEPENDENT AUDITORS

We have audited the group financial statements of East African Cables Limited set out on pages 6 to 34 which comprise the balance sheets of the group and the company at 31 December 2007, and the group’s income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors’ responsibility for the financial statements

As stated on page 3, the directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatements, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor’s responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity’s preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity’s internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the group and the company at 31 December 2007, and the group’s financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
- (ii) In our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) The balance sheet of the company is in agreement with the books of account.

KPMG Kenya
Certified Public Accountants
P.O Box 40612
00100 Nairobi GPO
Kenya

Date: 12 February 2008

SECRETARY**Virginia Ndunge**

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REGISTERED OFFICE &**PRINCIPAL PLACE OF BUSINESS****East African Cables Limited**

Industrial Area, Addis Ababa Road

PO Box 18243 Code 00500 Nairobi

BANKERS**Standard Chartered Bank Kenya Limited**

Kenyatta Avenue Branch

PO Box 40310, 00100 Nairobi GPO

Commercial Bank of Africa

Wabera Street

PO Box 30437, 00100 Nairobi GPO

Citibank NA

Upper Hill Branch

PO Box 30711, 00100 Nairobi GPO

**Consolidated Income Statement
for the Year ended 31 December 2007**

	Notes	2007 KShs'000	2006 KShs'000
Revenue		3,462,139	2,040,533
Cost of sales		(2,334,991)	(1,328,265)
Gross profit		1,127,148	712,268
Other income		8,858	4,592
Factory expenses		132,995)	83,989)
Administrative expenses		(179,289)	(117,547)
Distribution costs		(127,066)	(65,021)
Depreciation and amortisation	3	(36,680)	(23,631)
Profit from operations		659,976	426,672
Finance income	4	5,531	18,188
Finance costs	4	(68,021)	(22,048)
Net finance cost	4	(62,490)	(3,860)
Profit before tax	5	597,486	422,812
Income tax expense	6	(180,361)	(138,177)
Net profit for the year		417,125	284,635
Attributable to:			
Equity holders of parent:			
Company		329,221	282,393
Subsidiary		44,807	1,144
Group		374,028	283,537
Minority interest		43,097	1,098
Net profit for the year		417,125	284,635
Basic and dilutive earnings per share	7	KShs 1.85	KShs 1.40
Dividend per share		KShs -	KShs 0.70

The notes set out on pages 12 to 34 form an integral part of these financial statements.

Company Balance Sheet as at 31 December 2007

	Notes	2007 KShs'000	2006 KShs'000
ASSETS			
Non current assets			
Property, plant and equipment	8(a)	797,314	476,755
Prepaid operating lease rentals	9	177,815	178,149
Intangible assets	10	6,223	7,022
		981,352	61,926
Current assets			
Inventories		121,037,490	643,732
Debtors and prepayment		131,179,296	538,164
Cash and bank balances		11,561	63,835
		2,228,347	1,245,731
TOTAL ASSETS		3,209,699	1,907,657
EQUITY AND LIABILITIES			
Capital and reserves			
Issued capital 14(a)		101,250	101,250
Share premium		545	545
Revaluation reserve	14(b)	94,748	117,276
Revenue reserves		748,585	396,554
Proposed dividends		-	101,250
Exchange reserve	14(c)	(10,677)	(22,648)
Total equity attributable to equity holders of the company		934,451	694,227
Minority interest		167,894	110,783
		1,102,345	805,010
Non-current liabilities			
Deferred tax liability	15(a)	162,229	10,829
Provision for staff gratuity	16	10,646	10,670
Shareholders loan	17(d)	22,561	65,399
Bank loan	18	476,486	246,413
		671,922	333,311
Current liabilities			
Bank overdraft	18	148,758	62,610
Creditors and accruals	19	425,068	271,677
Tax payable		61,262	48,953
Shareholders loan	17(d)	59,497	60,309
Bank loan	18	739,166	324,756
Dividends payable		1,681	1,031
		1,435,432	769,336
TOTAL EQUITY AND LIABILITIES		3,209,699	1,907,657

The financial statements on pages 6 to 34 were approved by the Board of Directors on and were signed on its behalf by:

Director: _____ Director: _____

Company Balance Sheet as at 31 December 2007

	Notes	2007 KShs'000	2006 KShs'000
ASSETS			
Non current assets			
Property, plant and equipment	8(b)	618,366	315,995
Prepaid operating lease rentals	9	124,923	128,694
Intangible assets	10	6,223	7,022
Investment in subsidiary company	11	115,037	115,037
		864,549	566,748
Current assets			
Inventories	12	739,402	562,905
Debtors and prepayment	13	912,833	560,126
Cash and bank balances		9,589	16,503
		1,661,824	1,139,534
TOTAL ASSETS		2,526,373	1,706,282
EQUITY AND LIABILITIES			
Capital and reserves (Page 21)			
Issued capital	14	101,250	101,250
Share premium		545	545
Revaluation reserve		73,039	73,039
Revenue reserves		702,593	373,372
Proposed dividends		-	101,250
		877,427	649,456
Non-current liabilities			
Deferred tax liability	15(b)	117,299	5,796
Provision for staff gratuity	16	6,156	6,863
Shareholders loan	17(d)	22,562	65,399
Bank loan	18	476,485	246,413
		622,502	324,471
Current liabilities			
Bank overdraft	18	141,161	62,610
Creditors and accruals	19	275,436	232,577
Tax payable		31,399	51,072
Shareholders loan	17(d)	59,497	60,309
Bank loan	18	517,270	324,756
Dividends payable		1,681	1,031
		1,026,444	732,355
TOTAL EQUITY AND LIABILITIES		2,526,373	1,706,282

The financial statements on pages 6 to 34 were approved by the Board of Directors on and were signed on its behalf by:

Director: _____ Director: _____

Cash Flow Statement for the Year ended 31 December 2007

	Note	2007 KShs'000	2006 KShs'000
Cash flows from operating activities	20(a)	(220,519)	(244,280)
INVESTING ACTIVITIES			
Proceeds from disposal of property, plant and equipment		2,778	21
Interest received		18	385
Interest paid		(80,764)	(20,498)
Purchase of property, plant and equipment and leasehold land		(337,758)	(323,475)
Purchase of software		(1,868)	(1,895)
Cash flows from investing activities		(417,594)	(345,462)
FINANCING ACTIVITIES			
Loan received		600,833	645,398
Dividends paid		(101,142)	113,920
Cash flows from financing activities		499,691	531,478
Net decrease in cash and cash equivalents	20(b)	(138,422)	(58,264)

Consolidated Statement of Changes in Equity for the Year ended 31 December 2007

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Revenue reserves KShs '000	Proposed dividends KShs '000	Exchange reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Minority interest KShs'000	Total equity KShs'000
Balance at 31 December 2005	101,250	545	34,300	254,767	70,875	(4,095)	57,642	131,444	589,086
Net profit for the year	-	-	-	283,537	-	-	283,537	1,098	284,635
Dividends - 2005 paid	-	-	-	-	(70,875)	-	(70,875)	-	(70,875)
- 2006 interim paid	-	-	-	(40,500)	-	-	(40,500)	-	(40,500)
- 2006 proposed	-	-	-	(101,250)	101,250	-	-	-	-
Exchange difference on translation of subsidiary	-	-	-	-	-	(18,553)	(18,553)	(21,759)	(40,312)
On revaluation	-	-	82,976	-	-	-	82,976	-	82,976
Balance at 31 December 2006	101,250	545	117,276	396,554	101,250	(22,648)	694,227	110,783	805,010
Net profit for the year	-	-	-	374,028	-	-	374,028	43,097	417,125
Dividends - 2006 paid	-	-	-	-	(101,250)	-	(101,250)	(542)	(101,792)
- 2007 proposed	-	-	-	-	-	-	-	-	-
Deferred tax adjustment	-	-	-	(22,329)	-	-	(22,329)	(21,453)	(43,782)
Excess depreciation adjustment	-	-	(332)	332	-	-	-	-	-
Transfer to minority interest	-	-	(22,196)	-	-	-	(22,196)	22,196	-
Exchange difference on translation of subsidiary	-	-	-	-	-	11,971	11,971	13,813	25,784
Balance at 31 December 2007	101,250	545	94,748	748,585	-	(10,677)	934,451	167,894	1,102,345

Company Statement of changes in Equity for the Year ended 31 December 2007

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Revenue reserve KShs '000	Proposed dividend KShs '000	Total KShs'000
Balance at 31 December 2005	101,250	545	34,300	232,728	70,875	439,698
Net profit for the year	-	-	-	282,394	-	282,394
Dividends - 2005 paid	-	-	-	-	(70,875)	(70,875)
- 2006 paid	-	-	-	(40,500)	-	(40,500)
- 2006 proposed	-	-	-	(101,250)	101,250	-
On revaluation	-	-	38,739	-	-	38,739
Balance at 31 December 2006	101,250	545	73,039	373,372	101,250	649,456
Net profit for the year	-	-	-	329,221	-	329,221
Dividends - 2006 paid	-	-	-	-	(101,250)	(101,250)
- 2007 proposed	-	-	-	-	-	-
Balance at 31 December 2007	101,250	545	73,039	702,593	-	877,427

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

1. SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below:

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain property and equipment.

The preparation of financial statements in conformity with International Financial Reporting Standards requires management to make judgement, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reported period. The estimates and assumptions are based on the Directors' best knowledge of current events, actions historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

(b) Revenue recognition

Revenue from the sale of goods is measured at the fair value of the consideration receivable, net of returns, trade discounts and volume rebates. Revenue is recognised when the significant risk and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing management involvement with the goods, and the amount of revenue can be measured reliably.

Transfers of risks and rewards vary depending on the individual terms of the contract of sale.

Sales are generally recognised upon delivery of products and are stated net of VAT.

(c) Consolidation principles

The consolidated financial statements include the Company (which also includes a branch in Uganda) and its subsidiary, East African Cables (Tanzania) Company Limited in which the Group holds 51% of

the voting rights and Yana Trading Company Limited in which the company holds 100% voting rights (refer to note 11). Subsidiaries are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The financial statements of the subsidiaries are included in the consolidated financial statements from the date that control commences until that control ceases.

All intra-group balances and any unrealised gains and losses or income and expenses arising from intra-group balances, are eliminated in preparing consolidated financial statements.

(d) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group’s entities are measured using the currency of the primary economic environment in which the entity operates (“the functional currency”). The consolidated financial statements are presented in Kenya Shillings (KShs), which is the Company’s functional and presentation currency.

(ii) Foreign currency transaction

Transactions in foreign currencies during the year are converted into Kenya Shillings at the exchange rate ruling at the date of the transaction. Foreign currency monetary assets and liabilities are translated at the exchange rate ruling at the balance sheet date. Resulting exchange differences are recognised in the income statement for the year.

Non-monetary assets and liabilities denominated in foreign currency are recorded at the exchange rate ruling at the date of transaction.

(iii) Financial statements of foreign operations

The assets and liabilities of foreign operations, including goodwill/premium and air value adjustments arising on consolidation, are translated to Kenya Shillings at foreign exchange rates ruling at the balance sheet date. The revenues and expenses of foreign operations are translated to Kenya Shillings at rates approximating the foreign exchange rates ruling at the dates of transaction. Foreign exchange differences arising on retranslation are recognised as a separate component of equity.

(e) Property, plant and equipment

Items of property, plant and equipment are stated at historical cost or valuation less accumulated depreciation and impairment.

Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are as follows:

• Freehold Land	Nil
• Freehold Buildings	2%
• Leasehold Buildings	Over the lease period
• Plant, machinery and equipment	10%
• Furniture, fixtures, fittings, motor vehicles and computers	25%

The assets’ residual values and useful lives are reviewed and adjusted as appropriate at each balance sheet date.

The fair value of property, plant and equipment recognised as a result of a business combination is based on market values. The market value of property is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm’s length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion. The market value of items of plant, equipment, fixtures and fittings is based on the quoted market prices for similar items

(f) Operating leases

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor, are classified as operating leases. Payments made under operating leases are charged to the income statement on a straight-line basis over the period of the lease.

(g) Impairment

The carrying amounts of the group’s assets are reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the asset’s recoverable amount is estimated and an impairment loss recognised in the income statement if the carrying amount exceeds its recoverable amount.

(h) Inventories

Work in progress and manufactured finished goods are valued at production cost including direct production costs (cost of materials and labour) and an appropriate proportion of production overheads and factory depreciation. The cost of stocks is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, stocks are written down to net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(i) Trade and other debtors

Trade and other debtors are stated at amortised cost less an estimate made for doubtful receivables based on a review of all outstanding amounts at year end.

(j) Employee benefits**(i) Defined contribution plan**

Non-unionisable employees of the company are eligible for retirement benefits under a defined contribution plan provided through a separate fund arrangement.

Contributions to the defined contribution plan are charged to the income statement as incurred.

(ii) Staff gratuity

Unionisable staff are eligible to a gratuity upon retirement based on 23 days pay for each completed year of service at current salary. A provision is made in the financial statements for the estimated liability of such gratuity payable. Movements in the provision are accounted for in the income statement.

(iii) Leave accrual

The monetary value of the unutilised leave by staff as at year end is recognised as an expense in the year and carried in the accruals as a payable.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(k) Taxation

Tax on the operating results for the year comprises both current and change in deferred tax. Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is provided using the balance sheet liability method on all temporary differences between the carrying amounts for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is calculated on the basis of the tax rates currently enacted.

(l) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, bank balances, and short term deposits net of bank overdrafts.

(m) Related party transactions

The group discloses the nature, volume and amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(n) Dividends

Dividends are recognised as a liability in the period in which they are declared. Proposed dividends are treated as a separate component of equity.

(o) Financial instruments

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. Financial instruments held by the group include term deposits and receivables arising from day to day sale of goods and services and cash and bank balances.

Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio every balance sheet date to ensure that all financial instruments are appropriately classified.

Financial instruments are measured initially at cost, including transaction costs.

Loans and receivables which include term deposits and receivables arising from day to day sale of goods and services, are measured at amortised cost less impairment losses. Amortised cost is calculated on the effective interest rate method.

A financial asset is derecognised when the group loses control over the contractual rights that comprise that asset. This occurs when the rights are realised, expire or are surrendered. A financial liability is derecognised when it is extinguished.

(p) Intangible assets**(i) Goodwill/Premium on acquisition**

All business combinations are accounted for by applying the purchase method.

Goodwill represents the difference between the cost of acquisition and the fair value of the net identifiable assets acquired.

Goodwill is stated at cost less any accumulated impairment losses. Goodwill is allocated to cash-generating units and is no longer amortised but is tested annually for impairment. Negative goodwill arising on an acquisition is recognised directly in profit and loss.

(ii) Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives.

(q) Offsetting

Financial assets and liabilities are offset and the net amount reported on the balance sheet when there is a legally enforceable right to offset the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(r) Provisions

A provision is recognised in the balance sheet when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(s) Segmental reporting

A segment is a distinguishable component of the Group that is providing related products or services (business segment), or in providing products or services within a particular economic environment (geographical segment) which is subject to risks and rewards that are different from those of other segments. The Group's primary format for segment reporting is based on geographic segments.

(t) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(u) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2007, and have not been applied in preparing these consolidated financial statements:

- IFRS 8 Operating Segments introduces the "management approach" to segment reporting. IFRS 8, which becomes mandatory for the Group's 2009 financial statements, will require the disclosure of segment information based on the internal reports regularly reviewed by the Group's Chief Operating Decision Maker in order to assess each segment's performance and to allocate resources to them. Currently the Group presents segment information in respect of its business and geographical segments (see Note 23).
- Revised IAS 23 Borrowing Costs removes the option to expense borrowing costs and requires that an entity capitalise borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. IAS 23 will become mandatory for the Group's 2009 financial statements and will not constitute a change in accounting policy for the Group.
- IFRIC 11 IFRS 2 – Group and Treasury Share Transactions requires a share-based payment arrangement in which an entity receives goods or services as consideration for its own equity instruments to be accounted for as an equity-settled share-based payment transaction, regardless of how the equity instruments are obtained. IFRIC 11 will become mandatory for the Group's 2008 financial statements, with retrospective application required. It is not expected to have any impact on the consolidated financial statements.
- IFRIC 12 Service Concession Arrangements provides guidance on certain recognition and measurement issues that arise in accounting for public-to-private service concession arrangements. IFRIC 12, which becomes mandatory for the Group's 2008 financial statements, is not expected to have any effect on the consolidated financial statements.

- IFRIC 13 Customer Loyalty Programmes addresses the accounting by entities that operate, or otherwise participate in, customer loyalty programmes for their customers. It relates to customer loyalty programmes under which the customer can redeem credits for awards such as free or discounted goods or services. IFRIC 13, which becomes mandatory for the Group's 2009 financial statements, is not expected to have any impact on the consolidated financial statements.
- IFRIC 14 IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction clarifies when refunds or reductions in future contributions in relation to defined benefit assets should be regarded as available and provides guidance on the impact of minimum funding requirements (MFR) on such assets. It also addresses when a MFR might give rise to a liability. IFRIC 14 will become mandatory for the Group's 2008 financial statements, with retrospective application required.

	2007 KShs '000	2006 KShs '000
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2. STAFF COSTS

(a) Group

Direct labour	47,339	32,405
Indirect factory salaries	38,454	22,173
Administration salaries and wages	50,751	38,188
Distribution salaries and wages	40,999	23,123
Pension contributions	7,956	5,434
	185,499	121,323

The average number of people engaged during the year was 322 (2006 – 241).

(b) Company

Direct labour	38,964	27,976
Indirect factory salaries	33,970	21,520
Administration salaries and wages	40,410	28,372
Distribution salaries and wages	35,893	22,173
Pension contributions	5,427	4,636
	154,664	104,677

3. DEPRECIATION AND AMORTISATION

Depreciation	28,519	20,117
Amortisation of operating lease rentals	2,667	2,476
Amortisation of intangible assets	5,494	1,038
	36,680	23,631

4. NET FINANCE COST

Finance income

Interest income	18	385
Gain on exchange	5,513	17,803
	5,531	18,188

Finance cost

Interest paid	(62,928)	(20,498)
Bank charges	(1,895)	(1,550)
Loss on exchange	(3,198)	-
	(68,021)	(22,048)

Net finance cost	(62,490)	(3,860)
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	2007 KShs '000	2006 KShs '000
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5. PROFIT BEFORE TAX

Profit before tax is arrived at after charging/(crediting):

Depreciation expense	28,519	20,117
Amortisation of long term lease prepayment	5,494	2,476
Amortisation of intangible assets	2,667	1,038
Interest expense	62,928	20,498
Directors emoluments: Fees	5,490	2,717
Other	18,028	19,964
Auditors remuneration - Group	3,226	2,556
Profit on disposal of property, plant & equipment	(282)	-
Interest income	(18)	(385)

6. INCOME TAX

Current tax expense	72,614	140,945
Previous year's under provision	3,145	1,415
	75,759	142,360
Deferred tax (Note 15)	104,602	(4,183)
	180,361	138,177

The tax on the consolidated results differs from the theoretical amount using the basic tax rate as follows:

Accounting profit	597,486	422,812
Tax at the applicable rate	179,246	126,844
Previous year's under provision	3,145	1,415
Non-deductible costs and non-taxable income	(2,030)	9,918
	180,361	138,177

7. BASIC AND DILUTIVE EARNINGS PER SHARE

The calculation of basic and dilutive earnings per share is based on:

Profit attributable to ordinary shareholders (KShs'000)	374,028	283,537
Number of ordinary shares outstanding during the year	202,500,000	2 02,500,000
Basic and dilutive earnings per share	KShs 1.85	KShs1.40

8. PROPERTY, PLANT AND EQUIPMENT

(b) Group	Freehold land & buildings KShs'000	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
Cost or valuation:							
At 1 January 2007	6,647	179,591	163,991	27,896	19,606	200,690	598,421
Additions	-	-	28,411	10,511	8,789	290,047	337,758
Transfers	-	321,966	114,595	-	-	(436,561)	-
Disposals	-	-	-	(3,086)	(745)	-	(3,831)
Exchange differences	7,684	(13,063)	5,553	59	1,205	(1,179)	259
At 31 December 2007	14,331	488,494	312,550	35,380	28,855	52,997	932,607
Comprising:							
Cost	7,684	308,903	227,090	31,490	19,663	52,998	647,828
Valuation	6,647	179,591	85,460	3,890	9,191	-	284,779
	14,331	488,494	312,550	35,380	28,854	52,998	932,607
Depreciation:							
At 1 January 2007	2,822	11,324	77,507	17,881	12,132	-	121,666
Charge for the year	131	5,160	12,948	6,037	4,243	-	28,519
Disposals	-	-	-	(1,231)	(103)	-	(1,334)
Exchange differences	(1,807)	(7,664)	(3,074)	(257)	(756)	-	(13,558)
At 31 December 2007	1,146	8,820	87,381	22,430	15,516	-	135,293
Net book value:							
At 31 December 2007	13,185	479,674	225,169	12,950	13,339	52,997	797,314
At 31 December 2006	3,825	168,267	86,484	10,015	7,474	200,690	476,755
2006:							
Cost or valuation:							
At 1 January 2006	14,331	154,336	174,523	27,295	15,638	16,405	402,528
Additions	-	-	2,572	1,851	4,767	184,285	193,475
Disposals	-	-	-	-	(209)	-	(209)
On revaluation	19	30,957	(857)	(991)	(224)	-	28,904
Exchange differences	(7,703)	(5,702)	(12,247)	(259)	(366)	-	(26,277)
At 31 December 2006	6,647	179,591	163,991	27,896	19,606	200,690	598,421
Comprising:							
Cost	-	-	78,531	24,006	10,415	200,690	313,642
Valuation	6,647	179,591	85,460	3,890	9,191	-	284,779
	6,647	179,591	163,991	27,896	19,606	200,690	598,421
Depreciation:							
At 1 January 2006	885	16,790	119,269	14,626	11,356	-	162,926
Charge for the year	1,964	2,335	8,493	4,587	2,738	-	20,117
Disposals	-	-	-	-	(188)	-	(188)
Exchange differences	(27)	(19)	(6,582)	(265)	(224)	-	(7,117)
On revaluation	-	(7,782)	(43,673)	(1,067)	(1,550)	-	(54,072)
At 31 December 2006	2,822	11,324	77,507	17,881	12,132	-	121,666
Net book value:							
At 31 December 2006	3,825	168,267	86,484	10,015	7,474	200,690	476,755
At 31 December 2005	13,446	137,546	55,254	12,669	4,282	16,405	239,602

8. PROPERTY, PLANT AND EQUIPMENT (Continued)

(c) Company							
Cost or valuation:							
At 1 January 2007	14,331	75,000	81,237	27,307	16,496	199,512	413,883
Additions	-	-	26,958	-	2,967	290,047	319,972
Transfers	-	321,966	114,595	-	-	(436,561)	-
Disposals	-	-	-	(1,248)	-	-	(1,248)
Exchange differences	-	-	-	8	72	-	81
At 31 December 2007	14,331	396,966	222,790	26,067	19,535	52,997	732,687
Depreciation:							
At 1 January 2007	885	-	68,337	17,462	11,204	-	97,888
Charge for the year	261	1,500	8,594	4,257	2,989	-	17,601
Disposal	-	-	-	(1,040)	-	-	(1,040)
Exchange difference	-	-	-	2	(130)	-	(128)
At 31 December 2007	1,146	1,500	76,931	20,681	14,063	-	114,321
Net book value:							
At 31 December 2007	13,185	395,466	145,859	5,386	5,472	52,997	618,366
At 31 December 2006	13,446	75,000	12,900	9,845	5,292	199,512	315,995
2006:							
Cost or valuation:							
At 1 January 2006	14,331	44,043	78,664	25,479	13,090	15,227	190,834
Additions	-	-	2,573	1,851	3,408	184,285	192,117
Exchange differences	-	-	-	(23)	(2)	-	(25)
On revaluation	-	30,957	-	-	-	-	30,957
At 31 December 2006	14,331	75,000	81,237	27,307	16,496	199,512	413,883
Depreciation:							
At 1 January 2006	885	6,901	64,022	13,029	8,760	-	93,597
Charge for the year	-	881	4,315	4,437	2,444	-	12,077
Exchange difference	-	-	-	(4)	-	-	(4)
On revaluation	-	(7,782)	-	-	-	-	(7,782)
At 31 December 2006	885	-	68,337	17,462	11,204	-	97,888
Net book value:							
At 31 December 2006	13,446	75,000	12,900	9,845	5,292	199,512	315,995
At 31 December 2005	13,446	37,142	14,642	12,450	4,330	15,227	97,237

8. PROPERTY, PLANT AND EQUIPMENT (Continued)

Revaluation

The buildings of the company were revalued in 2006 by Lloyd Masika Limited, a firm of professional valuers on the basis of open market value for existing use. The increase in net carrying value as a result of the revaluation was credited to a revaluation reserve account.

All the property, plant and equipment of the subsidiary, East African Cables (Tanzania) Limited, were revalued in January 2006 by Gimco Limited, a firm of professional valuers on the basis of open market value for existing use and were used to determine fair value these assets at the date of acquisition.

	2007 KShs'000	2006 KShs'000
9. PREPAID OPERATING LEASE RENTALS		
Group:		
Carrying value of leasehold land at 1 January	178,149	60,948
Additions during the year	-	130,000
Amortisation for the year	(5,494)	(2,476)
Exchange adjustment	5,160	(10,323)
Balance at 31 December	177,815	178,149
Company:		
Carrying value of leasehold land at 1 January	128,694	310
Additions during the year	-	130,000
Amortisation for the year	(3,771)	(1,616)
Balance at 31 December	124,923	128,694

10. INTANGIBLE ASSETS – Group and Company

Computer software:

At 1 January	7,022	6,165
Additions during the year	1,868	1,895
Amortisation for the year	(2,667)	(1,038)
Net book value at 31 December	6,223	7,022

11. INVESTMENT IN SUBSIDIARY COMPANY

East African Cables (Tanzania) Limited	115,037	115,037
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On 31 October 2005, the Company purchased 51% of the share capital of East African Cables (Tanzania) Limited, a company incorporated in Tanzania.

The company has 100% shareholding in Yana Trading SA (Proprietary) Limited, a company incorporated in the Republic of South Africa, which is dormant.

11. INVESTMENT IN SUBSIDIARY COMPANY (Continued)

The overall results of operations for the subsidiary, East African Cables (Tanzania) Limited is as follows:

	2007 KShs '000	2006 KShs '000
Revenue for the year ended 31 December	1,088,361	288,935
Profit after tax for the year ended 31 December	87,953	2,242

12. INVENTORIES

Group

Raw materials:		
- Goods in transit	65,290	98,649
- Others	404,681	94,119
Finished goods	313,668	331,729
Work in progress	222,243	100,182
Strategic spares and lubricants	29,627	18,405
Stationery and printing	1,981	648
	1,037,490	643,732

Company

Raw materials:		
- Goods in transit-	-	73,238
- Others	268,486	82,188
Finished goods	283,025	313,401
Work in progress	160,047	77,141
Strategic spares and lubricants	26,339	16,319
Stationery and printing	1,505	618
	739,402	562,905

13. DEBTORS AND PREPAYMENTS

Group

Trade debtors	1,125,182	437,032
Prepaid expenses	5,432	9,181
Sundry debtors	48,682	91,951
	1,179,296	538,164

Company

Trade debtors	734,518	394,720
Prepaid expenses	754	2,257
Sundry debtors	62,713	91,094
Due from subsidiary	114,848	72,055
	912,833	560,126

14. CAPITAL AND RESERVES

(a) Share capital

Group and Company:

Authorised, issued and fully paid:	2007		2006	
	Number of shares		Number of shares	
	(Thousands) KShs'000		(Thousands) KShs'000	
Ordinary shares of KShs 0.50 each (2006 – KShs 5 each)	202,500	101,250	20,250	101,250
Additional shares as a result of share split of ten shares for every one held	-	-	182,250	-
Ordinary shares of KShs 0.50 each	202,500	101,250	202,500	101,250

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the company.

(b) Revaluation reserve

The revaluation reserve related to the revaluation of property, plant and equipment

(c) Exchange reserve

The exchange reserve comprises all foreign currency differences arising from the translation of the financial statement of foreign operations.

15. DEFERRED TAX LIABILITIES

(a) Group

Movements in the deferred tax liabilities during the year are as follows:

2007:					
Staff gratuity provision	(2,059)	203	-	-	(1,856)
Other provisions and accruals	(9,531)	(5,607)	-	-	(15,138)
Property, plant and equipment	17,279	111,440	43,782	3,016	175,517
Unrealised exchange gain	5,140	(1,434)	-	-	3,706
	10,829	104,602	43,782	3,016	162,229
2006:					
Staff gratuity provision	(2,153)	94	-	-	(2,059)
Other provisions and accruals	(6,397)	(3,134)	-	-	(9,531)
Property, plant and equipment	17,980	(181)	-	(520)	17,279
Unrealised exchange gain	6,102	(962)	-	-	5,140
	15,532	(4,183)	-	(520)	0,829

15. DEFERRED TAX LIABILITIES (Continued)

(b) Company

Movements during the year are as follows:

	Balance at 1/1/2007	Recognised through income statement	Balance at 31/12/2007
2007:			
Staff gratuity provision	(2,059)	203	(1,856)
Other provisions and accruals	(9,531)	(5,607)	(15,138)
Unrealised exchange gain	5,140	(1,434)	3,706
Property, plant and equipment	12,246	118,341	130,587
	5,796	111,503	117,299
2006:			
Staff gratuity provision	(2,153)	94	(2,059)
Other provisions and accruals	(6,397)	(3,134)	(9,531)
Unrealised exchange gain	6,102	(962)	5,140
Property, plant and equipment	14,383	(2,137)	12,246
	11,935	(6,139)	5,796

16. RETIREMENT BENEFITS OBLIGATIONS

Group	Balance at 1/1/2007 KShs'000	Movement KShs'000	Balance at 31/12/2007 KShs'000
Staff gratuity	10,670	(24)	10,646
Company			
Staff gratuity	6,863	(707)	6,156

The Company operates a defined contribution retirement benefits scheme for its non-unionisable employees. The scheme is administered independently by Eagle Africa Insurance Brokers Limited and is funded by contributions from both the company and the employees. The scheme's funds are managed by Old Mutual Asset Managers (K) Limited. During the year, the company expensed KShs 5,426,880 (2006 – KShs 4,635,645) in contributions payable.

Unionisable staff is eligible to a gratuity upon retirement based on 23 days pay for each completed year of service at final salary. A provision is made in the financial statements for the estimated liability of such gratuity payable. At 31 December 2007, the provision carried in the financial statements amounted to KShs 6,156,234 (2006 – KShs 6,863,471).

The Subsidiary makes statutory contributions to the National Social Security Fund (NSSF) and

the Parastatal Pension Fund (PPF). The subsidiary's obligations in respect of contributions to such funds are 15% of the employee basic salary in respect of PPF and 10% of the employee gross emoluments in respect of NSSF. Contributions to these pension funds are recognised as an expense in the period the employee renders the relative service.

17. RELATED PARTY TRANSACTIONS

The following transactions were carried out with related parties:

(a) Directors and executives officers

The total remuneration of directors and executive officers is as follows:

	2007 KShs'000	2006 KShs'000
Directors (Note 5) - Fees	5,490	2,717
- Others	18,028	19,964
Executive officers	15,780	11,900
	39,298	34,581

(b) Amounts due from the directors

Balances due from Managing Director	26	734
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This relates to balance from managing director's expense account.

(c) Purchases from related parties	19,160	2,508
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(d) Shareholders loans

Group and Company

Cable Holdings Limited

Non current liability	22,562	65,399
Current liability	59,497	60,309
	82,059	125,708

The loan is unsecured, denominated in US dollars and due for repayment in three years from the date of drawdown at an interest rate of 7% per annum.

Transactions with related companies are priced on arm's length basis and are in the ordinary course of business.

18. BANK FACILITY

(a) Group	2007 KShs'000	2006 KShs'000
Bank loan:		
Standard Chartered Bank Kenya Limited	993,755	571,169
Standard Chartered Bank Tanzania Limited	221,896	-
	1,215,651	571,169

Comprising:

Non current liability	476,485	246,413
Current liability	739,166	324,756
	1,215,651	571,169

(b) Company

Bank loan:

Standard Chartered Bank Kenya Limited	993,755	571,169
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Comprising:

Non current liability	476,485	246,413
Current liability	517,270	324,756
	993,755	571,169

Kenya:

The company entered into a facility with a bank and is secured over certain land and buildings for KShs 870 million and a debenture over all assets of the company for KShs 870 million.

The bank facility comprises overdraft, term loan, letters of credit, bonds/guarantee and forex dealing.

Tanzania:

The subsidiary, East African Cables (Tanzania) Limited, has a bank overdraft for working capital management and a short term post-import financing loan. The facility is charged against landed and moveable assets of the subsidiary.

19. CREDITORS ACCRUALS

	2007 KShs'000	2006 KShs'000
Group		
Trade creditors	341,148	216,665
Other creditors and accrued expenses	83,920	55,012
	425,068	271,677
Company		
Trade creditors	211,517	179,094
Other creditors and accrued expenses	63,919	53,483
	275,436	232,577

20. NOTES TO THE CASH FLOW STATEMENT

	2007 KShs'000	2006 KShs'000
(a) Reconciliation of net profit before tax to cash flow from operating activities		
Net profit before tax	597,485	422,812
Adjustments for:		
Depreciation	28,519	20,117
Amortisation of long term lease prepayment	2,667	2,476
Amortisation of intangible assets	5,494	1,038
Profit on disposal of property, plant and equipment	(282)	-
Interest income	(18)	(385)
Interest expense	80,764	20,498
Foreign currency changes	9,765	(11,349)
Operating profit before working capital changes	724,394	455,207
Increase in stocks	(393,758)	(311,511)
Increase in debtors	(641,132)	(184,419)
Decrease in provision for staff gratuity	(24)	(1,490)
Increase/(decrease) in creditors	153,392	(97,142)
Cash generated from operations	(157,128)	(139,355)
Income taxes paid	(63,391)	(104,925)
Cash inflow from operating activities	(220,519)	(244,280)

(b) Movement in cash and cash equivalents

	2007 KShs'000	2006 KShs'000	Change in year KShs'000
Bank overdraft	(148,758)	(62,610)	(86,148)
Cash and bank balances	11,561	63,835	(52,274)
	(137,197)	1,225	(138,422)

21. CONTINGENT LIABILITIES

A claim has been made by certain former employees of the company resulting from termination of employment. However, in the opinion of the Directors, a significant liability is unlikely to crystallise and cannot be currently established.

Guarantees with the bankers amounted to KShs 126,428,000 as at 31 December 2007 (2006 – KShs 84,101,030).

22. RISK MANAGEMENT DISCLOSURES

This section provides details of the company's exposure to risk and describes the methods used by management to control risk. The most important types of financial risk to which the company is exposed are credit risk, liquidity risk and market risk. Market risk includes currency risk and interest rate risk.

A. Trading activities

The company has one core trading activity and as a result has to focus on controlling production costs and enhancing product quality and service delivery so as to maintain customer satisfaction.

(i) Credit risk

The company's credit exposure at the balance sheet date from financial instruments held or issued for trading purposes is represented by the fair value of instruments with a positive fair value at that date, as recorded on the balance sheet.

The risk that counter-parties to trading instruments might default on their obligations is monitored on an ongoing basis.

To manage the level of credit risk, the company focuses on customer satisfaction as a key performance indicator. It also maintains a short credit period.

Due to the nature of the company's activities, credit risk concentrations are high and as such close monitoring of credit relationships is carried out.

(ii) Market risk

All trading instruments are subject to market risk, the risk that future changes in market conditions may make an instrument less valuable or more onerous.

The instruments are recognised at fair value, and all changes in market conditions directly affect net trading income.

The company manages its use of trading instruments in response to changing market conditions.

Exposure to market risk is formally managed in accordance with risk limits set by senior management.

B. Non-trading activities

Below is a discussion of the various risks the company is exposed to as a result of its non-trading activities and the approach taken to manage those risks.

(i) Liquidity risk

Liquidity risk arises in the general funding of the company's activities and in the management of positions. It includes both the risk of being unable to fund assets at appropriate maturities and rates and the risk of being unable to liquidate an asset at a reasonable price and in an appropriate time frame.

The company does not have access to a diverse funding base. Funds are raised mainly from its shareholders, banks and its own internal resources.

22. RISK MANAGEMENT DISCLOSURES (Continued)

The company strives to maintain a balance between continuity of funding and flexibility through the use of liabilities with a range of maturities.

The company continually assesses liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall company strategy.

In addition the company holds a portfolio of liquid assets as part of its liquidity risk management strategy.

(ii) Market risk

Interest rate risk

The company operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest bearing liabilities mature or reprice at different times or in differing amounts. Risk management activities are aimed at optimizing net interest income, given market interest rates level consistent with the company's business strategies. The company does not have any significant interest rate risk exposures.

Currency risk

The company is exposed to currency risk through transactions in foreign currencies. The company's transactional exposures give rise to foreign currency gains and losses that are recognised in the income statement.

In respect of monetary assets and liabilities in foreign currencies, the company ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the company to meet its obligations.

23. SEGMENTAL REPORTING

	2007	2006	2007	2006	2007	2006	2007	2006
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
External sales	2,634,871	1,761,831	97,768	31,458	1,088,362	288,935	3,821,001	2,082,224
Inter-segment sales	(241,908)	(41,691)	-	-	(116,954)	-	(358,862)	(41,691)
Total sales	2,392,963	1,720,140	97,768	31,458	971,408	288,935	3,462,139	2,040,533
Segment profit from operations	509,326	418,577	4,946	166	145,704	7,929	659,976	426,672
Net finance income/(costs)	(40,181)	(6,019)	(1,452)	1,482	(20,858)	677	(62,491)	(3,860)
Income tax expense	(142,332)	(131,283)	(1,086)	(530)	(36,942)	(6,364)	(180,360)	(138,177)
Segment results	326,813	281,275	2,408	1,118	87,904	2,242	417,125	284,635
Attributable to:								
Equity holders of parent	326,813	281,275	2,408	1,118	-	-	329,221	282,393
- Company	-	-	-	-	44,807	1,144	44,807	1,144
- Subsidiary	-	-	-	-	-	-	-	-
Minority interest	326,813	281,275	2,408	1,118	44,856	1,144	374,028	283,537
					43,097	1,098	43,097	1,098
Net profit for the year	326,813	281,275	2,408	1,118	87,904	2,242	417,125	284,635
Other information:								
Segment assets	2,113,540	1,576,820	91,773	61,052	1,004,036	269,785	3,209,699	1,907,657
Segment liabilities	1,304,727	917,159	88,340	59,948	714,287	125,540	2,107,394	1,102,647
Capital expenditure	319,972	320,079	-	2,037	17,786	1,359	337,758	323,475
Depreciation expense	17,059	12,077	542	-	10,918	8,040	28,519	20,117
Amortisation of operating leases	4,632	1,616	-	-	862	860	5,494	2,476
Amortisation of intangible assets	2,659	1,038	8	-	-	-	2,667	1,038

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets. The Tanzanian operation was acquired on 27 October 2005 and the company also set up a branch in Uganda in June 2006. The profit and loss above reflects the operations from date of acquisition to respective year ends.

24. FINANCIAL INSTRUMENTS

Liquidity risk

The table below analyses the company's financial assets and liabilities into relevant maturity groupings based on the remaining periods to repayment:

At 31 December 2007

	Due on demand KShs '000	Due within 3 months KShs '000	Due between 3 & 12 Months KShs '000	Total KShs '000
Debtors	-	1,179,296	-	1,179,296
Cash and bank balances	11,561	-	-	11,561
Bank overdraft	(148,758)	-	-	(148,758)
Creditors	-	(425,068)	-	(425,068)
Taxation	--	-	(61,262)	(61,262)
Loans and advances	--	-	(798,663)	(798,663)
Net liquidity gap at 31 December 2007	(137,197)	754,228	(859,925)	(242,894)

At 31 December 2006

Total assets	63,835	538,164	-	601,999
Total liabilities	(62,610)	(271,677)	(434,018)	(768,305)
Net liquidity gap at 31 December 2006	1,225	266,487	(434,018)	(166,306)

24. FINANCIAL INSTRUMENTS (Continued)

Interest rate risk

Contractual maturity analysis of assets and liabilities

The table below summarises the exposure to interest rate risks. Included in the table below are the company's assets and liabilities at carrying amounts, categorized by the earlier of contractual reprising or maturity dates:

At 31 December 2007	Average effective interest rate	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Non interest bearing KShs '000	Total KShs '000
Debtors	-	-	-	1,179,296	1,179,296
Cash and bank balances	-	-	-	11,561	11,561
Creditors	-	-	-	(425,068)	(425,068)
Bank overdraft	12.75%	(148,758)	-	-	(148,758)
Taxation	-	-	-	(61,262)	(61,262)
Loans and advances	8%	-	(798,663)	-	(798,663)
On balance sheet interest sensitivity gap		(148,758)	(798,663)	704,527	(242,894)
At 31 December 2006					
Total assets		-	-	601,999	601,999
Total liabilities		(62,610)	(385,065)	(320,630)	(768,305)
On balance sheet interest sensitivity gap		(62,610)	385,065	281,369	(166,306)

24. FINANCIAL INSTRUMENTS (continued)

Foreign currency risk

The table below summarises the company's exposure to foreign currency risks:

	2007 KShs '000	2006 KShs '000
Monetary assets	USD	USD
Cash and bank balances	487	38,957
Debtors	294,851	88,037
Monetary liabilities		
Shareholder's loan	(80,146)	(125,708)
Bank overdraft	(67,030)	21,837
Bank loan	(517,270)	(302,528)
Creditors	(174,509)	(21,837)
Net open position	(543,617)	(301,242)

25. CAPITAL COMMITMENTS

	2007 KShs '000	2006 KShs '000
Authorised and contracted for	40,427	264,177

26. ULTIMATE HOLDING COMPANY

The ultimate holding company is Trans Century Limited, a company incorporated in Kenya.

27. INCORPORATION

The company is incorporated in Kenya under the Companies Act.

	2007 KShs'000	2006 KShs'000
Revenue	2,636,843	1,751,735
Cost of sales	1,796,580)	(1,114,707)
Gross profit	840,263	637,028
Other income	46,355	9,586
Factory expenses	(103,937)	(70,048)
Administrative expenses	(127,643)	(79,843)
Distribution costs	(108,532)	(63,248)
Other operating expenses	(32,203)	(14,731)
Profit from operations	514,302	418,744
Finance income	5,528	15,961
Finance cost	(47,191)	(20,498)
Net finance cost	(41,663)	(4,537)
Profit before tax	472,639	414,207
Income tax	(143,418)	(131,813)
Net profit for the year	329,221	282,394

Five Year Financial Record

	2003 Consolidated KShs'000	2004 Consolidated KShs'000	2005 Consolidated KShs'000	2006 Consolidated KShs'000	2007 Consolidated KShs'000
Sales	428,430	825,316	1,162,041	2,040,533	3,462,139
Profit before tax	14,022	178,815	294,035	422,812	597,486
Tax	(4,657)	(55,154)	(81,096)	(138,177)	(180,361)
Profit after tax	9,365	123,661	212,939	284,635	417,125
Minority interest	-	-	(2,372)	(1,098)	(43,097)
Profit attributable to parent company shareholders	9,365	123,661	210,567	283,537	374,028
Dividends	(20,250)	(70,875)	(101,250)	(141,750)	-
Retained (loss)/profit	(10,885)	52,786	109,317	141,787	374,028
Earnings per share (KShs) - Restated	0.05	0.61	1.04	1.40	1.85
Dividend per share (KShs) - Restated	0.10	0.35	0.50	0.70	-
BALANCE SHEET					
Non-current assets	83,119	81,633	306,715	661,926	981,352
Current assets	272,782	410,583	745,455	1,245,731	2,228,347
TOTAL ASSETS	355,901	492,216	1,052,170	1,907,657	3,209,699
Equity and liabilities					
Share capital	101,250	101,250	101,250	101,250	101,250
Reserves	127,509	180,354	289,612	514,375	843,878
Proposed dividends	20,250	35,438	70,875	101,250	-
Exchange differences	-	-	(4,095)	(22,648)	(10,677)
Minority interest	-	-	131,444	110,783	167,894
Total equity	249,009	317,042	589,086	805,010	1,102,345
Non-current liabilities	22,824	20,612	44,592	333,311	671,922
Current liabilities	84,068	154,562	418,492	769,336	1,435,432
TOTAL EQUITY AND LIABILITIES	355,901	492,216	1,052,170	1,907,657	3,209,699

